

Changing the Subject: How Managerial Attention Reallocation Obscures Bad News

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Abstract

I develop a measure of managerial attention reallocation using earnings-call transcripts from 2007 to 2023. Using BERTopic, I compare the distribution of topics in each firm's management presentation with its prior communication pattern. Unusual attention reallocation predicts negative abnormal returns, elevated crash risk over horizons of up to two years, persistently lower long-run returns, greater analyst forecast dispersion, and higher option-implied uncertainty. Attention reallocation also predicts subsequent adverse firm developments: a one-standard-deviation increase is associated with an 8.6% increase in bad-news 8-K filings over the following 90 days, as well as a greater incidence of ESG incidents. Markets and analysts do not fully incorporate the signal at the time of the call, suggesting that changes in managerial attention allocation contain information about future firm outcomes that is only partially reflected in prices.

Keywords: Information, Attention reallocation, earnings call transcripts, BERTopic

JEL Classification: G14, G02, G12, G30, L21, D21

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1 Introduction

Earnings calls give investors a recurring opportunity to hear how management discusses the firm’s performance, risks, and priorities. In the management-presentation portion of the call, executives have considerable discretion over which issues to emphasize and how much time to devote to them. That discretion matters because a call can retain a familiar tone and resemble prior calls overall while its mix of topics changes substantially. Such changes may contain information about the firm that conventional textual measures do not capture. This paper examines whether shifts in management’s allocation of attention across topics predict subsequent market and firm outcomes.

Prior research shows that the language of corporate disclosures and news conveys useful information. Measures of sentiment and tone predict returns, analyst revisions, and future firm performance, while changes in the overall content of disclosure documents predict subsequent firm outcomes (Tetlock, 2007; Loughran and McDonald, 2011; Matsumoto et al., 2011; Mayew and Venkatachalam, 2012; Cohen et al., 2020; Bybee et al., 2024). These approaches capture what managers say, how they say it, or how much a disclosure changes overall. I study a different margin of communication: how management reallocates attention across topics relative to its own prior communication pattern. This distinction is important because management can change the weight placed on particular issues without using more negative language or producing a transcript that looks markedly different from the prior call. I measure those shifts and examine whether they reveal information about future firm outcomes.

To construct this measure, I apply BERTopic to the management-presentation sections of earnings call transcripts from 2007 to 2023. The method groups sentences that discuss similar economic issues into topics. For each firm-quarter, I calculate the share of discussion devoted to each topic and compare the resulting topic distribution with the firm’s prior-quarter distribution. The distance between the two distributions is my measure of attention reallocation. A higher value indicates a larger shift in the mix of issues management chooses to discuss, distinct from changes in tone or overall transcript similarity.

I find that greater attention reallocation is followed by weaker market outcomes. A one-standard-deviation increase in the reallocation measure is associated with a

16-basis-point decline in cumulative abnormal returns over the three days surrounding the call. The effect does not end with the announcement. Firms with greater reallocation earn lower firm-specific returns over horizons from one quarter to two years and face higher crash risk, measured by more negative return skewness. The crash-risk effect is strongest in the quarter following the call and remains present at longer horizons. These results indicate that the initial market reaction does not fully reflect the information associated with changes in management’s attention.

I next examine how analysts respond to calls with greater attention reallocation. Analysts revise their forecasts more often after these calls, but are less likely to issue revisions that depart markedly from the consensus. A one-standard-deviation increase in attention reallocation lowers the likelihood of a bold revision by 1.6 percentage points. At the same time, forecast dispersion and disagreement across analysts increase. Together, these results indicate that calls with greater attention reallocation are followed by a less settled analyst information environment: analysts respond to the call, but their views do not converge on a clear interpretation of its implications.

I then examine whether the information associated with attention reallocation is reflected in subsequent firm outcomes. Firms with greater attention reallocation file more bad-news 8-K reports in the periods following the call. A one-standard-deviation increase in attention reallocation predicts an 8.6% increase in bad-news 8-K filings in the 90 days following the call, after controlling for the firm’s prior filing frequency. The relation persists over longer horizons and is concentrated in contract terminations, delisting notices, and nonreliance on previously issued financial statements. Greater reallocation also predicts more adverse ESG incidents over the following year, as well as lower future operating performance and Tobin’s Q. These findings link attention reallocation to later adverse firm developments rather than to stock-return patterns alone.

The content of attention reallocation also shapes how investors respond. Increases in attention to risk and uncertainty are associated with negative announcement returns, but lower subsequent crash risk and higher future returns, consistent with investors responding to newly disclosed risk information. In contrast, increases in attention to corporate actions and capital structure are associated with positive announcement returns but lower subsequent returns, higher crash risk, and more bad-news 8-K filings. Thus, attention reallocation is not uniformly good or bad news;

its information content depends on the issues management chooses to emphasize. Consistent with partial incorporation, the negative announcement response to aggregate attention reallocation is stronger among firms with greater institutional ownership.

The findings remain when I compare the current topic distribution with a four-quarter average rather than the prior quarter and when I remove common industry-quarter movements in topic shares. They are also robust to controls for earnings surprises, firm characteristics, Loughran and McDonald net tone, and similarity to the prior-quarter transcript. These results indicate that attention reallocation captures information beyond conventional measures of disclosure tone and broad textual change.

I conduct several validation exercises to assess whether attention reallocation captures economically meaningful shifts in management’s discussion rather than mechanical features of earnings calls. First, the underlying topics respond to identifiable economic events: for example, tax discussion increases after the Tax Cuts and Jobs Act, supply-chain discussion rises during the 2021 disruptions, and labor-shortage discussion increases during the post-pandemic tightening of labor markets. Topic prevalence also varies predictably across industries. Aggregate attention reallocation rises during the 2008 financial crisis and at the onset of the COVID-19 pandemic, when firms faced abrupt changes in their operating environments. Finally, placebo measures that break the firm-specific time-series sequence or randomly reassign calls across firms do not predict the outcomes studied in the paper.

This paper contributes to the growing literature that uses text to extract economically meaningful information from corporate disclosures. Existing studies measure the sentiment and tone of managerial language (Tetlock, 2007; Loughran and McDonald, 2011; Mayew and Venkatachalam, 2012; Davis et al., 2015), examine changes in the overall content of disclosure documents (Brown and Tucker, 2011; Cohen et al., 2020), or use topic models to study corporate and macroeconomic themes (Dyer et al., 2017; Hassan et al., 2019; Sautner et al., 2023; Bybee et al., 2024). Related work compares the thematic content of earnings calls with subsequent analyst reports (Huang et al., 2018) or measures topic attention divergence between the management presentation and Q&A sections of the same call (Xiao, 2024). I examine how management reallocates attention across topics relative to the firm’s

own prior communication pattern. This approach captures shifts in emphasis that need not be reflected in tone or broad textual similarity. It also differs from studies of disclosure choice within calls that examine whether managers answer particular analyst questions (Hollander et al., 2010; Gow et al., 2021). The measure combines contextual sentence embeddings with unsupervised topic discovery, allowing topics to be identified from the text rather than from a fixed dictionary or an ex ante topic list. I show that attention reallocation contains information beyond conventional measures of tone and broad textual change. Its implications also depend on content: reallocations toward risk and uncertainty differ from reallocations toward corporate actions and capital structure, consistent with the distinction between informative and obfuscating communication emphasized by Bushee et al. (2018).

The paper also speaks to how investors and analysts process corporate disclosure. Cohen et al. (2020) show that changes in the language and construction of firms' periodic reports contain information about future firm outcomes that is not immediately incorporated into prices. More broadly, investors may underreact to public information when processing is costly or attention is constrained (Hirshleifer et al., 2009; DellaVigna and Pollet, 2009), and information users allocate attention selectively across components of complex disclosure bundles (Cheng et al., 2026). I study this margin in the voluntary presentation portion of earnings calls. Attention reallocation is associated with a negative announcement return, but it also predicts lower subsequent returns and adverse firm outcomes. Analysts revise their forecasts more frequently after high-reallocation calls, yet are less likely to issue bold revisions and disagree more with one another. The evidence is consistent with partial, rather than complete, incorporation of the information contained in shifts in managerial attention.

The paper further contributes to the literature on stock-price crash risk. Theoretical work links crash risk to limited transparency and the accumulation of firm-specific bad news (Jin and Myers, 2006). Empirical studies have largely examined this idea using accounting-based proxies, including earnings management, tax avoidance, and managerial equity incentives (Hutton et al., 2009; Kim et al., 2011a,b). I introduce a communication-based measure derived from earnings calls and show that unusual attention reallocation predicts higher crash risk from the quarter following the call through longer horizons. This relation remains after controlling for established crash-risk determinants, including prior skewness, detrended turnover,

and accruals-based opacity. Thus, shifts in management’s communication provide information about future downside risk beyond that contained in reported financial variables.

Finally, I connect voluntary managerial communication to subsequent mandatory disclosures and firm outcomes. Prior research shows that voluntary disclosures and Form 8-K filings convey economically relevant information to capital-market participants (Skinner, 1994; Kasznik and Lev, 1995; Kasznik, 1999; Kothari et al., 2009; Lerman and Livnat, 2010; McMullin et al., 2019; Watkins, 2022). I find that firms with greater attention reallocation subsequently file more bad-news 8-Ks, particularly those reporting contract terminations, delisting notices, nonreliance on previously issued financial statements, and bankruptcy or receivership. They also experience more adverse ESG incidents, weaker operating performance, and lower valuations. These findings link attention reallocation to later developments within the firm, showing that the measure captures more than a return-predictive feature of earnings-call language.

The remainder of the paper is organized as follows. Section 2 develops the conceptual framework and empirical predictions. Section 3 describes the construction of the topic distributions and the attention-reallocation measure using BERTopic. Section 4 describes the data and sample construction. Section 5 presents the main empirical results. Section 6 examines heterogeneity by content and institutional ownership. Section 7 concludes.

2 Conceptual Framework and Empirical Predictions

This paper examines a discretionary feature of managerial communication: how management allocates attention across the issues discussed during an earnings call. Earnings calls are a useful setting for this question because the management-presentation portion combines a recurring disclosure event with flexibility in presentation. In the management-presentation portion of the call, executives are not responding to a particular analyst’s question or following prescribed disclosure headings. Instead, the management team decides which developments to discuss, how much emphasis to place on each issue, and how to organize the narrative presented to investors. These choices produce a distribution of attention across topics, including operating performance, demand conditions, risks, capital allocation, regulation, and corporate strategy.

Attention allocation is distinct from both the tone and the overall amount of information in a call. A presentation can retain a similar tone to the prior quarter and contain many of the same words while changing the relative prominence of particular issues. For example, a firm may continue to discuss profitability, growth, and investment while devoting more of the presentation to financing, acquisitions, or changing business conditions. Such changes in emphasis are observable to investors, but are not well captured by a fixed dictionary, a tone measure, or a broad measure of transcript similarity.

2.1 Attention Allocation as a Communication Choice

The disclosure literature recognizes that managers make choices not only about whether to disclose information, but also about how information is presented and emphasized. Within earnings calls, prior work examines specific communication choices, including linguistic complexity and whether managers answer analysts’ questions directly ([Bushee et al., 2018](#); [Hollander et al., 2010](#); [Gow et al., 2021](#)). This paper considers a broader margin of communication in the prepared presentation: the allocation of attention across economic topics before analysts begin asking questions.

A management presentation has limited communicative capacity. Management cannot discuss every issue facing the firm with equal depth, and must decide which developments to foreground, which to mention briefly, and which to leave for later discussion or formal disclosures. These choices may reflect routine developments,

such as changes in regulation or input costs, but they may also reflect management’s assessment of developments relevant to the firm’s future condition. The empirical measure does not classify a shift as strategic or benign. Instead, it captures the extent to which the distribution of attention in the current call departs from the firm’s own prior communication pattern.

The within-firm benchmark is important because firms differ persistently in their industries, business models, operating environments, and communication styles. An energy company may regularly discuss commodity prices, while a technology company may regularly discuss product development or cybersecurity. These differences do not by themselves indicate unusual communication. The relevant question is whether a firm changes the relative emphasis placed on its usual topics. I therefore compare the topic distribution in the current management presentation with the firm’s historical distribution. This approach is related to research showing that topics emphasized in corporate text capture economically meaningful firm exposures and risks ([Baker et al., 2016](#); [Hassan et al., 2019](#); [Caldara and Iacoviello, 2022](#); [Sautner et al., 2023](#); [Hassan et al., 2023](#); [Harford et al., 2026](#)). The focus here differs: rather than measuring the level of attention devoted to a particular topic, I examine changes in the distribution of attention across all topics relative to the firm’s own prior communication pattern.

An unusual shift in attention is not inherently adverse. Greater discussion of supply-chain disruptions, regulatory developments, or risk exposures may clarify the firm’s condition, even if the immediate stock-price response is negative. Alternatively, management may place greater emphasis on topics that investors initially view favorably, such as growth initiatives, capital allocation, or corporate actions, while the implications of that shift for future firm outcomes remain difficult to assess. The information content of attention reallocation should therefore depend on the topics receiving greater or lesser emphasis. This argument is related in spirit to work on information design, which emphasizes that the presentation of information can affect how receivers form inferences ([Kamenica and Gentzkow, 2011](#)). The analysis here, however, does not model an optimal communication policy or identify management’s objective in reallocating attention.

2.2 Attention Reallocation and Investor Inference

Investors directly observe the earnings call and the topics management discusses. The difficulty is interpreting why the allocation of attention has changed. A

substantial shift in emphasis may arise because the firm’s environment has changed, because management has formed a different assessment of the firm’s prospects, or because management chooses to frame the discussion around particular issues. These explanations can generate similar observable changes in the topic distribution while having different implications for future firm outcomes.

This inference problem is particularly relevant during earnings calls, when investors process reported earnings, guidance, management commentary, analyst questions, and contemporaneous information about the industry and market. Prior research shows that public information may be incorporated gradually when processing is costly or investor attention is limited ([Hirshleifer et al., 2009](#); [DellaVigna and Pollet, 2009](#)). Related work finds that changes in the language and construction of corporate disclosures can contain information that is not immediately reflected in prices ([Cohen et al., 2020](#)). Attention reallocation creates a related but distinct challenge: investors must interpret a change in the relative emphasis placed on economic topics, rather than simply process a change in wording or overall disclosure content.

If investors can readily distinguish informative reallocation from routine variation in communication, the implications of a shift should be reflected in the stock price at the call. If that interpretation is difficult, the initial response may only partially reflect those implications. Subsequent information—including analyst research, later earnings announcements, mandatory disclosures, and observable operational events—can then help investors interpret what the earlier shift in managerial attention signaled. This argument does not require that management intentionally obscures information. It implies only that the implications of an unusual change in emphasis may become clearer over time.

The same reasoning applies to analysts and option markets. Analysts may revise forecasts after a high-reallocation call while remaining less willing to take positions that depart sharply from the consensus, and disagreement may increase when analysts draw different inferences from the same presentation. If the call leaves uncertainty about future outcomes unresolved, option-implied uncertainty may also decline less following the event.

2.3 Empirical Predictions

The framework motivates sets of empirical tests. First, I examine whether unusual attention reallocation is associated with announcement returns, subsequent

stock-price performance, and downside risk. A negative announcement response would indicate that investors recognize, at least in part, that a substantial departure from the firm’s usual communication pattern is relevant for valuation. Lower subsequent returns or greater downside risk would further indicate that the initial response does not fully reflect the information associated with the shift.

Second, I examine whether high-reallocation calls are followed by changes in analyst revisions, forecast boldness, disagreement, and option-implied uncertainty. Third, I test whether these calls precede developments that become publicly observable only later, including bad-news mandatory disclosures, adverse ESG incidents, weaker operating performance, and lower firm valuation. Evidence that attention reallocation predicts these outcomes would indicate that the measure is related to later developments within the firm rather than to a return pattern alone.

Finally, I examine whether the implications of attention reallocation differ across content categories. The aggregate measure captures the magnitude of a shift, not the economic meaning of the topics involved. Greater attention to risk and uncertainty may communicate information that investors initially react to strongly but later interpret as reducing uncertainty. Greater attention to corporate actions or capital structure may receive a different initial response and have different implications for future outcomes. This analysis helps distinguish situations in which attention reallocation appears to clarify the firm’s condition from situations in which the implications of managerial emphasis are more difficult for investors to assess at the time of the call.

The framework provides an interpretation for the empirical analysis without imposing a single motive on management. Attention reallocation is an observable feature of managerial communication whose information content depends on the issues receiving emphasis, the firm’s underlying circumstances, and investors’ ability to interpret a change in communication when it occurs.

3 Measures for Managerial Attention Reallocation

3.1 Topic Distributions in Management Presentations

I measure attention reallocation from the management-presentation portion of earnings calls. This portion is the appropriate setting because it reflects the topics management chooses to emphasize before the question-and-answer session begins. I divide each presentation into sentences and represent each sentence using contextual embeddings from the MPNet language model. I then apply BERTopic ([Grootendorst, 2022](#)) to group semantically related sentences into topics. The resulting topics capture recurring economic themes in managerial communication, including operating performance, demand conditions, supply-chain constraints, capital expenditures, acquisitions, leverage, tax matters, regulation, and sustainability.

For each firm-quarter, I aggregate sentence-level topic assignments into a topic-share vector. Let $n_{i,t,k}$ denote the number of retained sentences in firm i 's management presentation in quarter t assigned to topic k . The share of attention allocated to topic k is

$$A_{i,t,k} = \frac{n_{i,t,k}}{\sum_{j=1}^K n_{i,t,j}}, \quad \sum_{k=1}^K A_{i,t,k} = 1, \quad (1)$$

where K is the number of substantive topics in the corpus. Thus, $A_{i,t} = (A_{i,t,1}, \dots, A_{i,t,K})$ summarizes the distribution of discussion across topics in a firm's management presentation.

The topic model identifies 1,074 topics in the full corpus. Table 1 presents 20 representative topics, their distinguishing terms, and example sentences. The examples illustrate that the procedure groups sentences discussing the same economic issue even when firms use different language. The Appendix C2 provides details on preprocessing, sentence embeddings, topic estimation, topic labeling, and the treatment of sentences not assigned to a substantive topic.

3.2 Attention Reallocation

The main measure captures the extent to which the topic distribution in a firm's current presentation differs from its prior communication pattern. I use the preceding quarter as the primary benchmark because it captures abrupt changes in relative

emphasis. The one-quarter attention-reallocation measure is the L_1 distance between the current and prior-quarter topic-share vectors:

$$\text{AttnRealloc}_{i,t}^{1Q} = \sum_{k=1}^K |A_{i,t,k} - A_{i,t-1,k}|. \quad (2)$$

The measure ranges from zero to two. A value of zero indicates that the distribution of attention is unchanged from the prior quarter, whereas larger values indicate a greater redistribution of attention across topics. The measure captures both increases and decreases in topic shares. For example, greater emphasis on one topic necessarily implies less emphasis on one or more other topics.

I also construct a longer-horizon measure using the firm’s trailing four-quarter average topic distribution as the benchmark:

$$\text{AttnRealloc}_{i,t}^{4Q} = \sum_{k=1}^K \left| A_{i,t,k} - \frac{1}{4} \sum_{s=t-4}^{t-1} A_{i,s,k} \right|. \quad (3)$$

The four-quarter measure is used as a robustness test. Whereas $\text{AttnRealloc}_{i,t}^{1Q}$ captures a change relative to the immediately preceding call, $\text{AttnRealloc}_{i,t}^{4Q}$ captures a departure from the firm’s more typical pattern of discussion.

The within-firm construction is central to the analysis. Firms differ persistently in their industries, operating environments, and communication styles, so cross-sectional variation in topic shares alone is not informative about an unusual change in communication. The measure instead asks whether the relative emphasis placed on topics in the current presentation differs from the firm’s own prior pattern. It therefore captures a change in the organization of managerial communication, rather than the level of attention devoted to any particular topic.¹

¹Xiao (2024) construct Topic Attention Divergence by comparing topic-attention vectors for the management-presentation and question-and-answer portions of the same earnings call. That measure captures contemporaneous divergence within a call. In contrast, the measures in Equations (2) and (3) capture changes in a firm’s management presentation over time.

3.3 Validation of the Attention-Reallocation Measure

I conduct several validation exercises before turning to the main empirical analysis. These tests address three questions: whether the underlying topics correspond to recognizable economic themes, whether attention reallocation is distinct from existing textual measures and call characteristics, and whether its explanatory content depends on genuine within-firm changes in communication.

Topic coherence and face validity. I first examine whether topic prevalence responds to identifiable economic and policy developments. Attention to tax issues rises around the Tax Cuts and Jobs Act, COVID-related discussion increases sharply in 2020, supply-chain discussion rises during the 2021 disruptions, and inflation-related discussion increases during the subsequent period of elevated inflation. Figure 4 plots the quarterly evolution of selected topics and relates these changes to the relevant events.

Topic prevalence also varies predictably across industries. Energy-related topics are more prevalent among oil and gas firms, supply-chain topics are more prevalent in manufacturing and retail, and labor-shortage topics are more prevalent in service industries. Together with the representative sentences in Table 1, these patterns indicate that the procedure identifies economically interpretable themes rather than arbitrary clusters of words. Additional topic maps, word clouds, and industry-level plots are reported in the Internet Appendix.

Distinctiveness from existing text measures and call characteristics. I next examine the relation between attention reallocation and other observable features of earnings calls. Attention reallocation is essentially uncorrelated with Loughran and McDonald net tone and only weakly related to the number of analysts participating in the call. It is negatively correlated with cosine similarity to the prior presentation, as expected, because a larger redistribution of attention across topics makes the current presentation less similar to the prior one. The correlation is nevertheless far from perfect: the squared correlation between attention reallocation and cosine similarity is 0.247. Thus, most of the variation in attention reallocation is not shared with a broad measure of textual similarity. The correlation matrix is reported in Appendix Table B8.

I also residualize $\text{AttnRealloc}_{i,t}^{1Q}$ with respect to net tone, cosine similarity to the

prior presentation, and the number of topics discussed in the call. The residualized measure continues to predict announcement returns, subsequent crash risk, long-run returns, and future bad-news 8-K filings. These results indicate that attention reallocation captures a distinct dimension of managerial communication beyond tone, broad textual change, and variation in the breadth of topics discussed. Appendix Table B8 reports these estimates. Results are unchanged when call length is used in place of the number of topics.

Appendix Table B7 reports descriptive regressions of attention reallocation on firm characteristics. Reallocation is more common among firms with more volatile operating environments, greater segment diversification, and higher leverage, and less common among firms with stronger profitability, higher Tobin’s Q, and greater investment intensity. These patterns are consistent with reallocation varying systematically with changes in the firm’s economic environment; they do not determine the interpretation of any individual shift in attention.

Placebo tests. Finally, I construct two placebo measures. The first randomly permutes a firm’s calls before forming current-prior pairs. This exercise preserves the firm’s transcript content and membership while breaking the observed link between a current presentation and the firm’s actual prior presentation. The second randomly assigns presentations to firms within the same quarter before forming the measure. This exercise preserves quarter-level conditions while removing firm-specific communication patterns.

Neither placebo measure reproduces the systematic relations between attention reallocation and announcement returns, subsequent crash risk, long-run returns, or bad-news 8-K filings documented below. Together, these placebo tests indicate that the explanatory content of attention reallocation arises from genuine within-firm changes in managerial attention rather than mechanical quarter-level variation or common shocks. Appendix Table B9 reports the full results.

4 Data

4.1 Earnings Conference Call Data

I collect earnings conference call transcripts from Capital IQ covering the period 2007 through 2023. The dataset provides the company name, company identifier, call date, full transcript text, and section labels that identify whether each portion of the transcript corresponds to a prepared remark, an analyst question, an executive response, or a moderator comment. I use these labels to exclude moderator comments and other procedural content before preprocessing and training the model.

Earnings calls are among the most important recurring corporate disclosure events, in which financial analysts listen to management presentations and ask questions about developments material to the firm (Hollander et al., 2010). Prior work establishes that these calls convey valuable information beyond what is available in financial statements, including forward-looking assessments of firm strategy, risk exposures, and operational priorities (Frankel et al., 1999; Li et al., 2021; Garcia et al., 2023; Sautner et al., 2023). The primary purpose of these calls is to review the firm’s recent performance while also providing forward-looking commentary that reflects management’s assessment of the firm’s current state and future direction. A key advantage of earnings calls for this purpose is that managers make active choices about which topics to emphasize each quarter, producing a revealed distribution of attention across themes that can be compared to the manager’s own historical baseline. This within-firm variation in topic allocation is not available from structured filings, where the format and content categories are largely prescribed by regulation.

I use the transcripts to construct a time-varying measure of managerial attention reallocation at the firm-quarter level. My primary measure is based on the prepared remarks section delivered by executives, where the manager has full discretion over which topics to emphasize. This section reflects the executive’s *ex ante* communication choices, uninfluenced by analyst questioning. As a complementary analysis, I also construct the measure using executive responses during the question-and-answer section, and the results are consistent across both specifications.

Insert Figure 5

Figure 5 plots the quarterly cross-sectional mean of the two attention reallocation measures from 2007 through 2023. Both measures spike during the 2007–2008

financial crisis and again during the onset of the COVID-19 pandemic in early 2020, consistent with managers shifting their communication to address new and unfamiliar developments during periods of aggregate uncertainty. Outside of these episodes, the measures are relatively stable, with a gradual upward trend over the sample period. The 1Q baseline measure is consistently above the 4Q baseline measure, as expected: quarter-to-quarter shifts in attention are larger than deviations from a four-quarter rolling average because the longer baseline smooths transitory variation. The co-movement between the two measures is high, providing assurance that both capture the same underlying variation in managerial communication behavior.

Insert Figure 6

Figure 6 disaggregates the time series by Fama-French 12 industry groups. The crisis and pandemic spikes are present across all industries, indicating that these episodes produced economy-wide shifts in managerial communication rather than being concentrated in particular sectors. At the same time, there is meaningful cross-industry variation in the level of attention reallocation: Energy and Manufacturing firms exhibit higher average reallocation than Nondurables and Wholesale/Retail firms, consistent with industries facing more volatile operating environments requiring more frequent narrative adjustment. Figure 7 presents the cross-sectional density of the two measures. Both distributions are approximately symmetric and unimodal, with the 4Q baseline measure exhibiting a tighter distribution reflecting the smoothing effect of the longer baseline. The right tail of both distributions contains the high-reallocation observations that are central to the empirical analysis.

Insert Figure 7

4.2 Analyst Forecast Data

I obtain individual analyst forecasts and consensus statistics from the I/B/E/S detail and summary files. I restrict the sample to earnings per share forecasts, exclude observations with absolute forecast values or actuals exceeding 25 following [Livnat and Mendenhall \(2006\)](#), drop duplicate records, and require non-missing forecast values following standard procedures in [Diether et al. \(2002\)](#). From the detail file, I construct analyst-level forecast revisions, forecast errors, and a measure of forecast boldness following [Clement and Tse \(2005\)](#) and [Hong and Kubik \(2003\)](#). From the summary file, I obtain consensus forecast dispersion and analyst coverage. I link

forecasts to earnings calls using a bridge file mapping I/B/E/S tickers to transcript identifiers and call dates, and construct pre-call and post-call windows by matching each forecast to the nearest call within specified horizons. The primary post-call window spans trading days +1 through +10 after the earnings call.

4.3 Options Data

I obtain implied volatility data from the OptionMetrics IvyDB volatility surface file for the period 2006 through 2024. I use standardized 30-day, 50-delta call implied volatilities, which provide a near-at-the-money measure of option-implied uncertainty. I require positive implied volatility below 200 percent, positive implied premium, and dispersion below 10 percent, consistent with conventions in the options literature (Xing et al., 2010; Cremers and Weinbaum, 2010; An et al., 2014). I link options data to earnings calls using CRSP permno identifiers and a trading day calendar. For each call, I construct pre-call implied volatility (PCIV) as the average implied volatility over trading days -5 to -1 , and implied volatility jump (IVJUMP) as the change in implied volatility from trading day -1 to trading day $+1$ (Pan, 2002). I also construct abnormal pre-call implied volatility by subtracting the firm’s historical average implied volatility computed over trading days -65 to -6 . To capture the persistence of options market responses, I compute one-quarter-ahead lead values of PCIV and IVJUMP by matching each firm-quarter to its subsequent quarter.

4.4 Mandatory Disclosure Data

I collect Form 8-K filings from the SEC’s EDGAR database for firms in my sample over the period 2003 through 2024. I obtain filing dates and item codes through the EDGAR submissions API and classify filings as bad news based on their item content. Following the item classification in Lerman and Livnat (2010) and McMullin et al. (2019), I identify bad news items as those reporting termination of a material agreement (Item 1.02), bankruptcy or receivership (Item 1.03), triggering events affecting debt (Item 2.04), exit or disposal costs (Item 2.05), material impairments (Item 2.06), notice of delisting (Item 3.01), auditor changes (Item 4.01), nonreliance on previously issued financial statements (Item 4.02), and suspension of trading in benefit plans (Item 5.04). For each earnings call, I count the number of bad news 8-K filings within forward windows of 90, 180, 365, and 730 days, as well as backward windows for use in placebo tests (Carter and Soo, 1999; Kothari et al., 2009; Watkins, 2022). The results hold using total 8-K filing counts and when examining individual

item categories separately.

4.5 RepRisk Data

I obtain data on adverse environmental, social and governance (ESG) incidents that occur within the firm from RepRisk, which screens media, regulatory, and commercial documents across more than 150,000 public sources in over 20 languages to identify firm-level ESG risk events (Berg et al., 2022; Gantchev et al., 2022). RepRisk categorizes each incident by severity (high, medium, or low) and reach (the breadth of media coverage), and eliminates duplicate reports when a single event is covered by multiple sources. A key advantage of RepRisk for this purpose is that it captures adverse incidents from external sources rather than firm self-disclosures, reducing concerns about reporting bias. For each earnings call, I measure the total number of adverse incidents, their average severity, and their average reach within forward windows of 3, 6, and 12 months. These measures allow me to test whether managerial attention reallocation predicts subsequent real operational and reputational deterioration beyond what is captured by mandatory filings.

4.6 Financial Statement Data

I obtain firm-level accounting data from Compustat Fundamentals Quarterly and Annual files, including total assets, book-to-market ratio, cash holdings, leverage, capital expenditures, return on assets, Tobin's q , R&D expenditures, and investment. Stock return data, share prices, trading volume, and shares outstanding are from the Center for Research in Security Prices (CRSP). I use CRSP daily returns to compute cumulative abnormal returns around earnings calls using a market model estimated over trading days -255 to -46 . I compute crash risk measures following Kim et al. (2011a): firm-specific weekly returns are obtained as the residuals from a market model with two leads and two lags of market returns to account for nonsynchronous trading (Dimson, 1979; Kim et al., 2011a), and negative return skewness (NCSKEW) and down-to-up volatility (DUVOL) are computed over forward windows of 3, 6, 12, and 24 months following each earnings call. I also compute detrended turnover (DTURN) and earnings opacity (ACCM) as standard crash risk controls following Kim et al. (2011a) and Hutton et al. (2009).

I obtain institutional ownership data from the Thomson Reuters Institutional (13F) Holdings database. Business segment concentration is measured using a

Herfindahl index constructed from Compustat segment data. I control for firm complexity using the measure developed by [Loughran and McDonald \(2024\)](#). All continuous control variables are winsorized at the 1st and 99th percentiles.

4.7 Descriptive Statistics

Table 2 reports summary statistics for the main variables used in the analysis. The sample consists of 4,332 unique firms and 131,379 firm-quarter observations from 2007 through 2023. Observation counts vary across panels due to differences in data availability; in particular, the analyst variables in Panel E require matched I/B/E/S data within the post-call window, and the options variables in Panel D require OptionMetrics coverage.

Insert Table 2

Panel A reports the distribution of the attention reallocation measures. $Attn\ Realloc_t^{1Q}$, which measures the total shift in the distribution of managerial attention across topics relative to the prior quarter, has a mean of 1.203 and a standard deviation of 0.322. The four-quarter benchmark measure, $Attn\ Realloc_t^{4Q}$, has a lower mean of 1.137 and a standard deviation of 0.237, as expected given that averaging over four quarters smooths transitory variation in the baseline. The interquartile ranges of 0.49 and 0.29 indicate that there is considerable variation across firm-quarters in the degree to which managers shift their topic emphasis from one call to the next.

Panel B reports cumulative abnormal returns around earnings calls. The mean $CAR(-1, +1)$ is close to zero with a standard deviation of 8.8 percent, consistent with standard properties of abnormal returns around earnings announcements. Panel C reports crash risk measures over forward horizons of 1 to 8 quarters. Mean $NCSKEW$ is positive across all horizons, ranging from 0.071 at one quarter to 0.087 at eight quarters, and the standard deviation declines with the horizon from 1.243 to 0.938. Mean firm-specific weekly returns are slightly negative across all horizons.

Panel D reports options market variables. $Abn\ PCIV_t$ averages 2.6 percentage points above the firm’s historical baseline, consistent with the typical elevation in implied volatility before earnings announcements. $IV\ JUMP_t$ averages -5.0 percentage points, reflecting the well-documented decline in implied volatility once earnings uncertainty is resolved. Panel E reports analyst behavior variables, including

forecast boldness (mean 0.487), dispersion (mean 0.193), and revision intensity (mean 0.743).

Panels F and G report bad-news mandatory disclosures and adverse ESG incidents. The average firm has 0.101 bad-news 8-K filings in the 90 days following an earnings call and 0.469 over the following year. Contract terminations and delisting notices are among the more frequent components of the main index, whereas nonreliance on previously issued financial statements and material impairments are rare. Adverse ESG incidents average 0.77 over 12 months, and the median is zero across all horizons, reflecting the concentration of incidents among a subset of firms. Panel H reports subsequent operating performance and Panel I reports firm-level control variables. The distributions of all controls are consistent with those reported in comparable samples in the literature.

5 Empirical Results

This section presents the main empirical findings. I examine whether attention reallocation is associated with immediate market reactions, subsequent return performance and downside risk, analyst responses, option-implied uncertainty, later corporate disclosures, adverse environmental, social, and governance (ESG) incidents, and future firm performance.

5.1 Attention Reallocation and Announcement Returns

I first examine the relation between attention reallocation and abnormal returns around earnings calls. I estimate the following baseline specification:

$$CAR_{i,t}(w_1, w_2) = \alpha + \beta \textit{Attn Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \quad (4)$$

where $CAR_{i,t}(w_1, w_2)$ is the cumulative abnormal return for firm i over the window (w_1, w_2) around the earnings call in quarter t , computed using a market model estimated over trading days -255 to -46 . $\textit{Attn Realloc}_{i,t}^{1Q}$ is my measure of managerial attention reallocation, defined as the total shift in the topic attention distribution relative to the prior quarter. $X_{i,t-1}$ is a vector of lagged firm-level controls including firm size, prior year return, standardized unexpected earnings, investment, leverage, Tobin's q , book-to-market, R&D expenditures, firm complexity, institutional

ownership, business segment concentration, pre-call realized volatility, and pre-call illiquidity. All specifications include firm fixed effects (μ_i) and year-quarter fixed effects (δ_t). Standard errors are clustered at the firm level.

Insert Table 3

Table 3 reports the estimates. Attention reallocation is negatively associated with abnormal returns across each announcement window. In column (1), the coefficient on *Attn Realloc*^{1Q} is -0.005 ($t = -4.57$). Given a standard deviation of 0.322 for the attention-reallocation measure, a one-standard-deviation increase is associated with a 0.16 percentage-point, or 16-basis-point, lower $CAR(-1, +1)$. The coefficients remain between -0.005 and -0.006 in the wider event windows reported in columns (2) through (5), and all are statistically significant at the 1% level.

Column (6) considers cumulative abnormal returns from trading days +2 through +60. The coefficient remains negative and statistically significant ($\beta = -0.006$, $t = -2.24$). Thus, the relation between attention reallocation and returns is not confined to the immediate announcement window. The post-call return pattern is consistent with the possibility that investors do not fully interpret the implications of an unusual shift in managerial attention when the call occurs.

The magnitude of the immediate effect is modest relative to the unconditional standard deviation of $CAR(-1, +1)$, which is 8.8%, but the result is precisely estimated and robust across event windows. This shows that investors react negatively when the allocation of attention in a management presentation departs substantially from the firm’s recent communication pattern.

5.2 Attention Reallocation, Crash Risk, and Long-Run Returns

The announcement-return results show that investors react negatively when management’s allocation of attention departs from the firm’s recent communication pattern. The next question is whether that reaction fully reflects the implications of the shift or whether its effects extend to subsequent stock-return performance and downside risk. For each forward horizon, I estimate:

$$NCSKEW_{i,t+h} = \alpha + \beta \text{Attn Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \quad (5)$$

where $NCSKEW_{i,t+h}$ is the negative coefficient of skewness of firm-specific weekly

returns over the forward horizon $h \in \{1Q, 2Q, 4Q, 8Q\}$ following the earnings call. Higher values of *NCSKEW* indicate more negatively skewed returns and greater crash risk. I follow [Kim et al. \(2011a\)](#) in constructing the crash-risk measures. The control vector includes standard crash-risk determinants, lagged firm characteristics, and pre-call market controls. All specifications include firm and year-quarter fixed effects, and standard errors are clustered by firm.

Insert Table 4

Panel A of Table 4 reports the crash-risk estimates. Attention reallocation is positively associated with *NCSKEW* at each forward horizon. At the one-quarter horizon, the coefficient on *Attn Realloc*^{1Q} is 0.042 ($t = 3.31$). A one-standard-deviation increase in attention reallocation is therefore associated with a 0.014-unit increase in *NCSKEW*. This magnitude is modest relative to the unconditional dispersion of the crash-risk measure, but it is precisely estimated.

The coefficient remains positive at the two-, four-, and eight-quarter horizons, with estimates of 0.032, 0.029, and 0.022, respectively. The estimates are statistically significant at conventional levels through four quarters and marginally significant at the eight-quarter horizon. Thus, the relation between attention reallocation and subsequent downside risk is not limited to the quarter immediately following the call.

Panel B examines long-run abnormal returns over the same horizons. The coefficients on attention reallocation are negative throughout: -0.007 at one quarter ($t = -3.45$), -0.011 at two quarters ($t = -3.31$), -0.015 at four quarters ($t = -2.72$), and -0.020 at eight quarters ($t = -1.88$). The negative association with subsequent returns accompanies the higher crash risk documented in Panel A.

The results indicate that large departures from a firm’s communication pattern are followed by both greater downside risk and weaker subsequent stock-return performance. These findings are consistent with the possibility that the implications of an unusual shift in managerial attention are not fully resolved at the time of the earnings call.

5.3 Attention Reallocation, Analyst Responses, and Subsequent Earnings Outcomes

A negative market reaction does not reveal whether investors can readily interpret the implications of an unusual shift in attention. Analyst forecasts provide a useful

setting in which to examine that question. I examine how analysts respond following high-reallocation calls and whether those calls are associated with subsequent earnings outcomes. The empirical specification is:

$$Y_{i,t} = \alpha + \beta \text{Attn Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \quad (6)$$

where $Y_{i,t}$ denotes an analyst-response or earnings-outcome measure. I examine revision intensity, analyst bold share, forecast dispersion, analyst disagreement, subsequent standardized unexpected earnings, and post-call consensus forecast dispersion. Revision intensity is the fraction of active analysts who revise their forecasts within ten trading days of the call. Bold Share is the fraction of eligible analysts whose first forecast issued from trading days +1 through +10 after the call moves farther from the prevailing consensus than the analyst's immediately preceding forecast for the same fiscal-period end. Forecast dispersion is the cross-sectional standard deviation of outstanding forecasts, and disagreement is the mean absolute deviation of individual forecasts from the consensus. The remaining specifications examine subsequent standardized unexpected earnings and consensus dispersion scaled by share price. All regressions include lagged firm characteristics, firm fixed effects, and year-quarter fixed effects, with standard errors clustered by firm.

Insert Table 5

Table 5 reports the results. Columns (1) and (2) examine analyst activity following the call. Revision intensity increases with attention reallocation ($\beta = 0.044$, $t = 2.98$), indicating that analysts update their forecasts more frequently. At the same time, the share of eligible analysts issuing bold revisions declines ($\beta = -0.049$, $t = -7.76$). Thus, high-reallocation calls are followed by more forecast activity but less pronounced revisions relative to the firm's peer analysts.

Columns (3) and (4) examine the analyst information environment. Both forecast dispersion and analyst disagreement increase following high-reallocation calls. The coefficient on attention reallocation is 0.020 for dispersion ($t = 2.67$) and 0.011 for disagreement ($t = 2.13$). These estimates indicate that analysts do not converge on a common interpretation of the information conveyed during calls with unusually large shifts in managerial attention.

Columns (5) and (6) consider subsequent earnings outcomes and post-call

consensus dispersion. Attention reallocation is negatively associated with subsequent standardized unexpected earnings ($\beta = -0.001$, $t = -2.48$), suggesting that firms with greater reallocation subsequently report less favorable earnings news. Post-call consensus dispersion is also positively related to attention reallocation, although the estimate is marginally significant ($\beta = 0.000$, $t = 1.85$).

Overall, the results show that analysts respond actively to calls with unusual attention reallocation, but their forecasts become less bold and more dispersed. The association with lower subsequent earnings surprises is consistent with these calls containing information about future firm performance that is not immediately resolved in analysts' post-call forecasts.

5.4 Attention Reallocation and Option-Implied Uncertainty

The preceding results on the analyst forecasts provide one view of how market participants interpret managerial communication. Option prices provide another, because implied volatility reflects uncertainty about future firm outcomes. I examine whether calls with unusual attention reallocation are followed by a different change in option-implied uncertainty:

$$Y_{i,t} = \alpha + \beta \text{Attn Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t}, \quad (7)$$

where $Y_{i,t}$ is an option-implied uncertainty measure. I examine three outcomes. *Abn PCIV_t* measures abnormal implied volatility before the earnings call. *IV JUMP_t* is the change in implied volatility from trading day -1 to trading day $+1$ around the call. *IV JUMP_{t+1}* is the corresponding implied-volatility change around the following quarter's earnings call. All implied-volatility measures are obtained from the OptionMetrics volatility surface for 30-day, 50-delta call options. The specifications include the same fixed effects and lagged controls as the preceding analyses, with standard errors clustered by firm.

Insert Table 6

Table 6 reports the results. Column (1) shows that abnormal pre-call implied volatility is negatively associated with attention reallocation ($\beta = -0.030$, $t = -11.82$). Thus, firms that subsequently exhibit large shifts in attention do not enter the earnings call with unusually high option-implied uncertainty. If anything, their

pre-call implied volatility is lower relative to the benchmark used to construct the abnormal-volatility measure.

Column (2) examines the change in implied volatility around the call. The coefficient on attention reallocation is positive and precisely estimated ($\beta = 0.036$, $t = 15.74$). Implied volatility declines on average following earnings calls as some uncertainty is resolved. The positive coefficient therefore indicates that this decline is smaller when management’s allocation of attention departs more sharply from its prior communication pattern. For a one-standard-deviation increase in attention reallocation, the estimated change in *IV JUMP* is approximately 1.2 percentage points. This result is consistent with the call leaving greater uncertainty about future firm outcomes.

Column (3) considers the implied-volatility change around the following quarter’s call. The coefficient is positive but much smaller ($\beta = 0.002$, $t = 2.05$). The estimate suggests that some uncertainty associated with high-reallocation calls remains relevant at the next earnings announcement, although the economic magnitude is limited.

The results indicate that high attention reallocation calls are not preceded by unusually high option-implied uncertainty, but they are associated with a smaller post-call reduction in implied volatility. Option prices therefore indicate that uncertainty about future firm outcomes is not fully resolved when the earnings call occurs.

5.5 Attention Reallocation and Bad-News 8-K Filings

The market-based evidence shows that high-reallocation calls are followed by weaker returns and greater uncertainty. Whether those patterns correspond to later adverse developments within the firm is a separate question. I address it by examining mandatory 8-K disclosures using a Poisson pseudo-maximum likelihood model with firm and year-quarter fixed effects:

$$E[\text{Bad-News } 8K_{i,t+h} \mid X] = \exp\left(\alpha + \beta \text{Attn Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t\right) \quad (8)$$

where *Bad-News* $8K_{i,t+h}$ is the number of 8-K filings containing at least one adverse

item within $h \in \{90, 180, 365, 730\}$ days after the earnings call. The index includes filings reporting the termination of material agreements, bankruptcy or receivership, debt-triggering events, exit or disposal costs, material impairments, delisting notices, auditor changes, nonreliance on previously issued financial statements, and temporary suspensions of trading under employee-benefit plans. Item 5.02 filings are excluded from the main index because the item code combines departures with routine appointments and other personnel disclosures. I also examine Item 5.02 director and officer departure-related filings separately in Appendix Table B5. Attention reallocation positively predicts subsequent Item 5.02 filings across the forward horizons. This result is consistent with the main bad-news 8-K findings and shows that the association is also present for this related category of personnel disclosures.

The control vector includes the firm’s adverse 8-K filing count during the preceding 365 days, as well as the lagged firm characteristics and market controls used in the preceding analyses. All specifications include firm and year-quarter fixed effects, and standard errors are clustered by firm.

Insert Table 7

Table 7 reports the results. Attention reallocation is positively associated with bad-news 8-K filings at each horizon. At the 90-day horizon, the coefficient on *Attn Realloc*^{1Q} is 0.240 ($t = 5.66$). Using the standard deviation of the attention-reallocation measure, a one-standard-deviation increase is associated with approximately an 8.6 % increase in the expected number of bad-news 8-K filings during the following 90 days.² The association remains positive and statistically significant when the outcome is measured over 180 days ($\beta = 0.164$, $t = 6.04$), one year ($\beta = 0.080$, $t = 3.93$), and two years ($\beta = 0.046$, $t = 2.46$).

The 90-day result links an unusual shift in management’s communication during the call to adverse events that are formally disclosed soon afterward. The positive and significant estimates at the longer horizons show that the relation extends beyond the immediate post-call period. These findings indicate that attention reallocation is associated not only with market uncertainty, but also with corporate developments that later require formal disclosure.

Panel B decomposes the composite bad-news 8-K measure into its underlying disclosure categories. The estimates show that the aggregate result is not attributable

²The percentage effect is calculated as $e^{0.24 \times 0.345} - 1$, which equals approximately 8.6%.

to a single item type. Attention reallocation is positively associated with subsequent filings across several categories, including delisting notices, contract terminations, and nonreliance on previously issued financial statements. These item-level results show that the relation extends across distinct forms of adverse corporate developments rather than reflecting a mechanical increase in one frequently reported disclosure category. The mandatory-disclosure results complement the earlier market-based evidence. Firms with greater attention reallocation subsequently experience more bad-news 8-K filings, consistent with unusual shifts in managerial attention conveying information about adverse future firm outcomes that is not fully incorporated when the earnings call occurs.

5.6 Attention Reallocation and Adverse ESG Incidents

The mandatory-disclosure results show that unusual attention reallocation is associated with adverse developments that are subsequently reported in Form 8-K filings. I next examine whether attention reallocation is also associated with environmental, social, and governance (ESG) incidents linked to the firm and documented in external sources. I estimate:

$$Y_{i,t+h} = \alpha + \beta \textit{Attn Realloc}_{i,t}^{1Q} + \gamma' X_{i,t-1} + \mu_i + \delta_t + \varepsilon_{i,t} \quad (9)$$

where $Y_{i,t+h}$ is an adverse ESG incident outcome measured over forward windows of three, six, and twelve months. I examine the log of one plus the number of incidents, average incident severity, and average media reach. The incident data are obtained from RepRisk, which identifies firm-linked ESG incidents using external media, regulatory, and commercial sources. The control vector includes the lagged incident count, together with the standard set of firm characteristics. All specifications include firm and year-quarter fixed effects, with standard errors clustered by firm.

Insert Table 8

Table 8 reports the results. Panel A examines incident counts. Attention reallocation is positively associated with the log number of adverse incidents over each forward horizon. The coefficient is 0.010 ($t = 3.64$) over the following three months, 0.014 ($t = 3.97$) over six months, and 0.023 ($t = 5.08$) over one year. Thus, firms with greater attention reallocation are subsequently linked to a greater number of documented ESG incidents.

Panel B considers incident severity. The coefficients are positive and statistically significant at each horizon: 0.013 ($t = 2.51$) at three months, 0.016 ($t = 2.50$) at six months, and 0.023 ($t = 3.24$) at one year. The association with severity indicates that the relation is not limited to a higher number of relatively minor incidents.

Panel C examines media reach. Attention reallocation is positively associated with the reach of subsequent incidents at each horizon. The coefficients are 0.011 ($t = 2.51$) at three months, 0.010 ($t = 1.93$) at six months, and 0.012 ($t = 2.01$) at one year. These estimates suggest that the incidents associated with high-reallocation calls receive broader external attention.

These results complement the mandatory-disclosure evidence. Greater attention reallocation is associated with both a higher incidence of subsequently documented ESG events and greater severity and reach of those events. The findings extend the relation between unusual managerial attention allocation and later adverse firm developments beyond events disclosed directly by the firm.

5.7 Attention Reallocation and Subsequent Firm Performance

The preceding analyses link unusual attention reallocation to subsequent mandatory disclosures and externally documented adverse incidents. I next examine whether these associations are also reflected in firms' subsequent operating performance and valuation.

Table 9 reports regressions of future return on assets and Tobin's Q on the attention-reallocation score. The dependent variables are measured one, two, and three quarters after the earnings call. All specifications include firm and year-quarter fixed effects, the standard set of lagged controls, and firm-clustered standard errors.

Insert Table 9

Panel A shows that attention reallocation is negatively associated with return on assets over the following one and two quarters. The estimates indicate that firms with greater departures from their prior communication pattern subsequently report weaker operating performance. Panel B shows a negative association between attention reallocation and Tobin's Q at each of the one-, two-, and three-quarter horizons. Thus, the relation between attention reallocation and later firm outcomes is evident in both an accounting-based performance measure and a market-based valuation measure. The disclosure and incident evidence are also reflected in

subsequent firm performance. Firms with greater attention reallocation subsequently exhibit weaker operating performance and lower firm valuation.

6 Heterogeneity by Content and Institutional Ownership

The aggregate attention-reallocation measure treats all changes in managerial emphasis alike. Yet a shift toward risk and uncertainty may convey different information from a shift toward corporate actions, financial performance, or governance. This section examines whether the market response and subsequent firm outcomes differ according to the content receiving managerial attention.

6.1 Content Decomposition of Attention Reallocation

I begin by decomposing attention reallocation into economically distinct content categories. Each BERTopic topic is assigned to a category using a large-language-model classification procedure calibrated on a manually labeled training set and evaluated against an independently labeled blind human sample. The categories include risk and uncertainty, corporate actions and capital structure, financial performance, people and governance, industry conditions, and macroeconomic or geopolitical developments. Appendix C1 describes the classification procedure and reports the full topic-to-category mapping.

For each category, I measure the extent to which its share of the management presentation changes relative to the firm’s prior call. The category-level analysis addresses a question that the aggregate measure cannot answer: whether the information associated with unusual attention reallocation depends on the content toward which management shifts its discussion.

Table 10 reports the category-level estimates for announcement returns, subsequent returns, crash risk, and bad-news 8-K filings.

Insert Table 10

Reallocation involving risk-factor and uncertainty content is associated with a negative announcement-window return. The subsequent pattern differs from the aggregate result. Firms with greater risk-related reallocation earn higher subsequent returns, exhibit lower crash risk at the horizons for which the estimates are statistically significant, and do not show a robust increase in subsequent bad-news

8-K filings. This pattern is consistent with investors reacting strongly when managers devote unusual attention to risk-related issues, while the later evidence does not indicate a corresponding increase in adverse firm developments.

Corporate-action and capital-structure content exhibits a different pattern. Greater reallocation in this category is associated with a favorable announcement-window reaction but weaker subsequent stock-return performance. It is also associated with greater subsequent crash risk and more bad-news 8-K filings in the specifications in which these estimates are statistically significant. Thus, the initial market response to unusual emphasis on corporate actions appears more favorable than the later outcomes associated with those calls.

The remaining categories provide useful context for these results. Reallocation involving industry conditions and macroeconomic or geopolitical developments is generally less strongly associated with the market and firm outcomes considered here. Other content categories have more mixed coefficient patterns across outcomes and horizons. The contrast between risk-related content and corporate-action content is therefore the clearest evidence that the economic implications of attention reallocation depend on what management chooses to emphasize.

To distinguish shifts toward a category from shifts away from it, I next decompose each category-level measure into positive and negative components. The positive component captures an increase in the category's share of the management presentation relative to the preceding quarter, while the negative component captures a decrease. Table 11 reports the announcement-return and subsequent-return estimates. Appendix Table B6 reports the corresponding crash-risk and bad-news 8-K results.

Insert Table 11

For risk-factor and uncertainty content, the announcement-return relation is driven primarily by increases in attention. When management devotes a larger share of the presentation to risk-related issues, announcement returns are lower; decreases in risk-related attention are associated with a more favorable immediate response. The subsequent-return results move in the opposite direction for increases in risk-related attention. This pattern is consistent with risk-related discussion bringing concerns to investors' attention at the call, rather than signaling a growing stock of adverse developments that surfaces only later.

For corporate-action and capital-structure content, increases in attention are associated with favorable announcement returns but weaker subsequent outcomes. The adverse long-run return, crash-risk, and bad-news-disclosure patterns are most pronounced for increases in attention to this category. Although the signed estimates do not imply that all decreases are uninformative, they show that the economically important subsequent-outcome relations are concentrated in calls that place greater emphasis on corporate actions and capital structure.

The content analysis refines the interpretation of the aggregate measure. Large shifts in managerial attention do not carry a uniform implication for investors. Risk-related shifts are followed by a negative immediate reaction without a corresponding pattern of later adverse disclosures, whereas shifts toward corporate actions are initially received favorably but are associated with weaker subsequent outcomes. The content of the shift therefore helps distinguish calls in which attention reallocation appears to bring risk information into the discussion from calls in which the market’s initial interpretation is less consistent with later firm outcomes.

6.2 Institutional Ownership and the Market Response to Attention Reallocation

The content of an earnings call is only one part of the pricing process. The investors interpreting that communication may also shape how quickly and how strongly its implications are reflected in prices. I therefore examine whether the announcement-return relation between attention reallocation and stock prices varies with institutional ownership. Institutions may have greater resources and incentives to evaluate the information embedded in managerial communication, making institutional ownership a useful setting in which to examine heterogeneity in the pricing of attention reallocation.

I augment the announcement return specification by interacting attention reallocation with institutional ownership. Institutional ownership is centered before constructing the interaction, so the coefficient on attention reallocation captures its association with announcement returns at the sample-average level of institutional ownership.

Insert Table 12

Table 12 reports a negative and statistically significant coefficient on the interaction

between attention reallocation and institutional ownership across the announcement windows. Thus, the negative association between attention reallocation and announcement returns is stronger among firms with greater institutional ownership. The result is consistent with institutional investors playing an important role in monitoring and processing information relevant to firm value ([Bartov et al., 2000](#); [Dyck and Zingales, 2004](#); [Chen et al., 2007](#); [Boone and White, 2015](#)). It also complements the analyst results: unusual shifts in managerial attention are associated with a more difficult information environment, but the initial market response is more pronounced when institutional ownership is higher.

7 Conclusion

Earnings calls are usually studied through the words managers use, their tone, or the similarity of one disclosure to the next. This paper shows that the allocation of attention across topics is itself informative. When the distribution of discussion in a management presentation departs sharply from the firm’s prior communication pattern, that shift contains information about subsequent market and firm outcomes that is not captured by conventional textual measures.

I develop a measure of managerial attention reallocation from the topic distribution of earnings-call presentations. Firms with greater attention reallocation receive negative announcement-window returns and subsequently experience weaker stock-return performance and greater crash risk. The calls are also followed by a more difficult information environment: analysts revise more frequently but are less likely to issue bold revisions and disagree more with one another, while option-implied uncertainty falls by less around the call. Later outcomes point in the same direction. High-reallocation firms file more bad-news 8-K reports, are linked to more severe and more widely reported environmental, social, and governance incidents, and exhibit weaker operating performance and lower valuations.

The content of the shift is central to its interpretation. Reallocation toward risk and uncertainty is followed by a negative immediate reaction but more favorable subsequent outcomes, consistent with risk information becoming salient during the call. Reallocation toward corporate actions and capital structure receives a more favorable initial response but is followed by weaker returns and more adverse outcomes. These differences show why a large shift in attention should not be interpreted mechanically: its implications depend on the issues to which management redirects the discussion. The stronger announcement-return response among firms with greater institutional ownership further indicates that the pricing of these shifts varies with the firm’s investor base.

The paper contributes a new way to study managerial communication. Rather than treating each topic, word, or measure of tone in isolation, the attention-reallocation measure captures how the relative emphasis placed on issues changes over time. This perspective is useful because corporate communication is inherently selective: management cannot discuss every issue with equal intensity in a single call. Measuring those changes in emphasis provides a way to identify information in the structure of

communication itself. What management chooses to emphasize is informative, but so is what it stops emphasizing.

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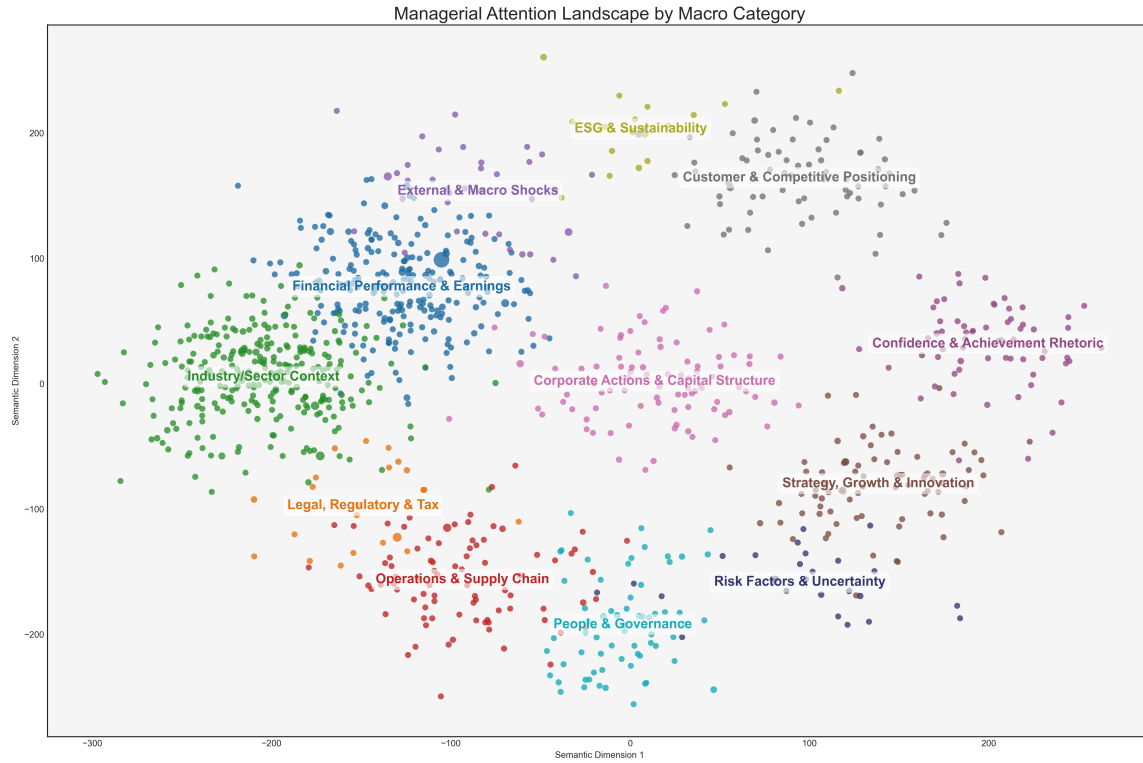


Figure 1. This figure presents the semantic map of managerial discussion derived from earnings-call transcripts. Each point represents a topic, and colors denote macro-categories. The spatial arrangement reflects similarity in managerial language: topics that appear closer together share related linguistic and conceptual content. The figure illustrates that managerial attention is not diffuse but instead clusters into coherent thematic regions that correspond to economically meaningful domains.

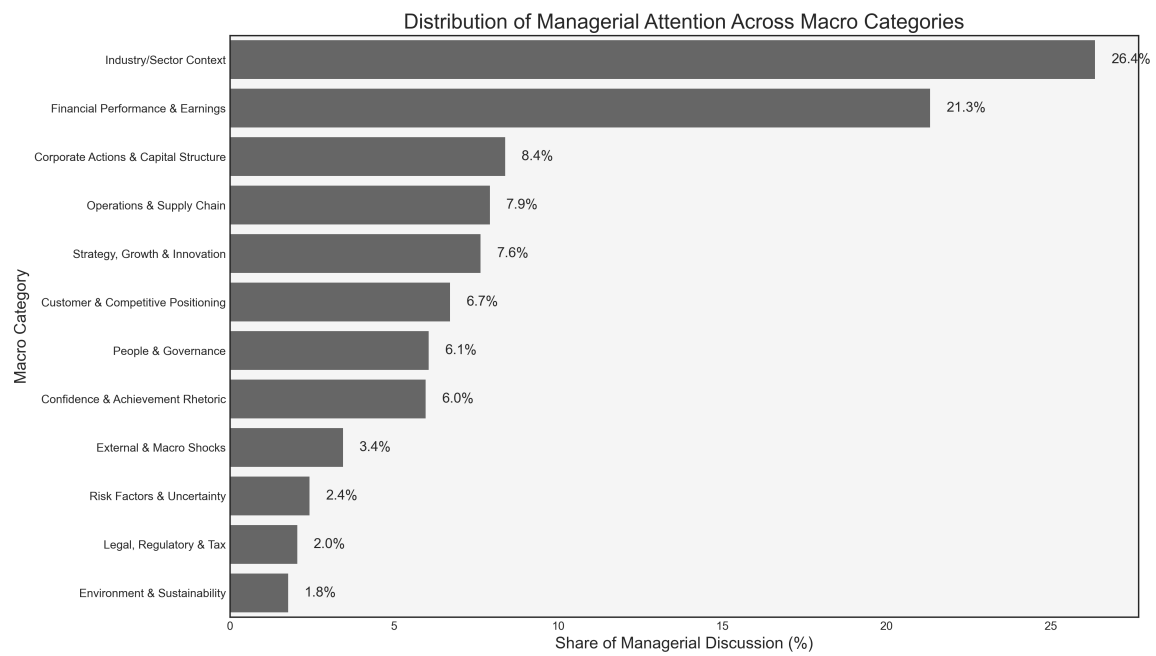


Figure 2. This figure shows the share of managerial discussion allocated to each macro category based on sentence-level topic assignments. Shares are computed as the proportion of all topic-assigned sentences falling into each category.

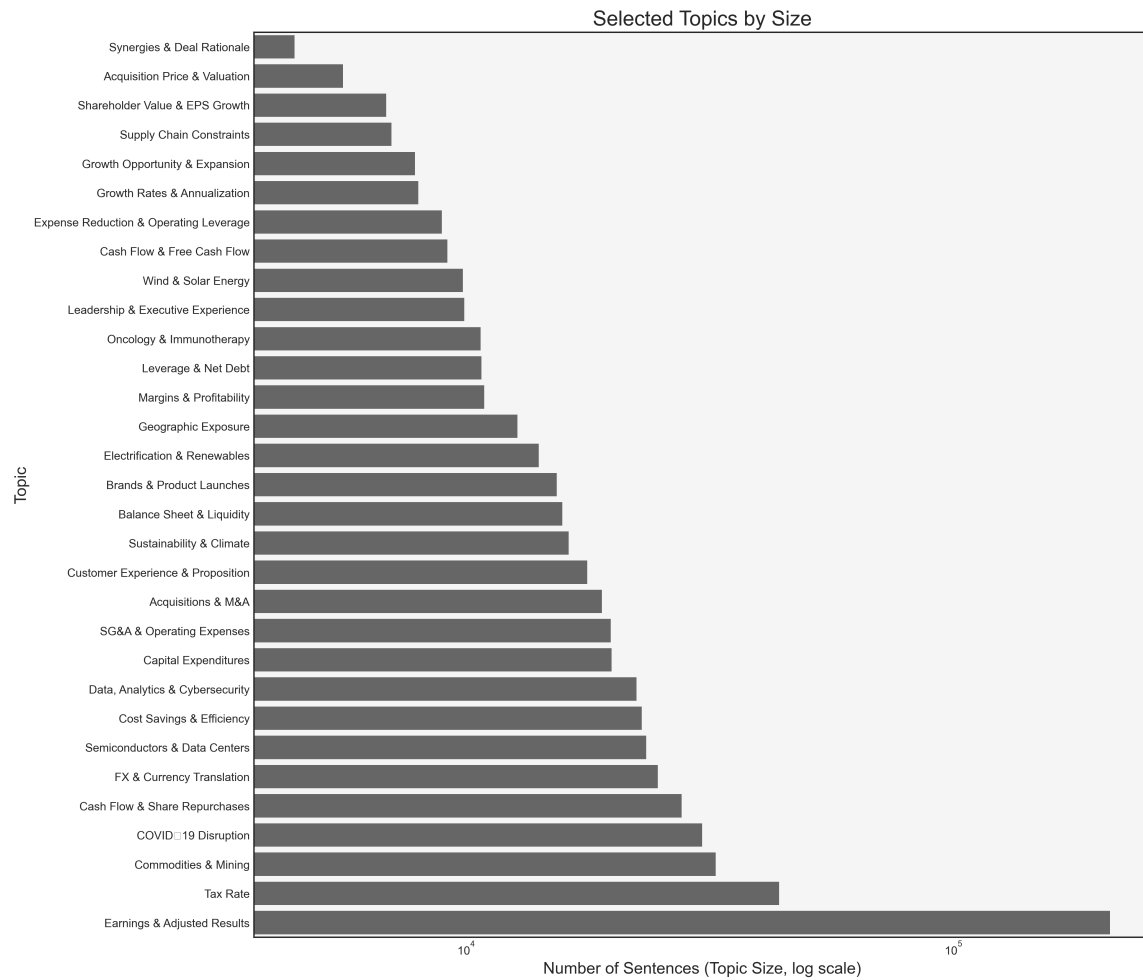


Figure 3. This figure plots the relative size of top thirty managerial attention topics derived from earnings-call transcripts. The x-axis uses a logarithmic scale to display proportional differences across topics.

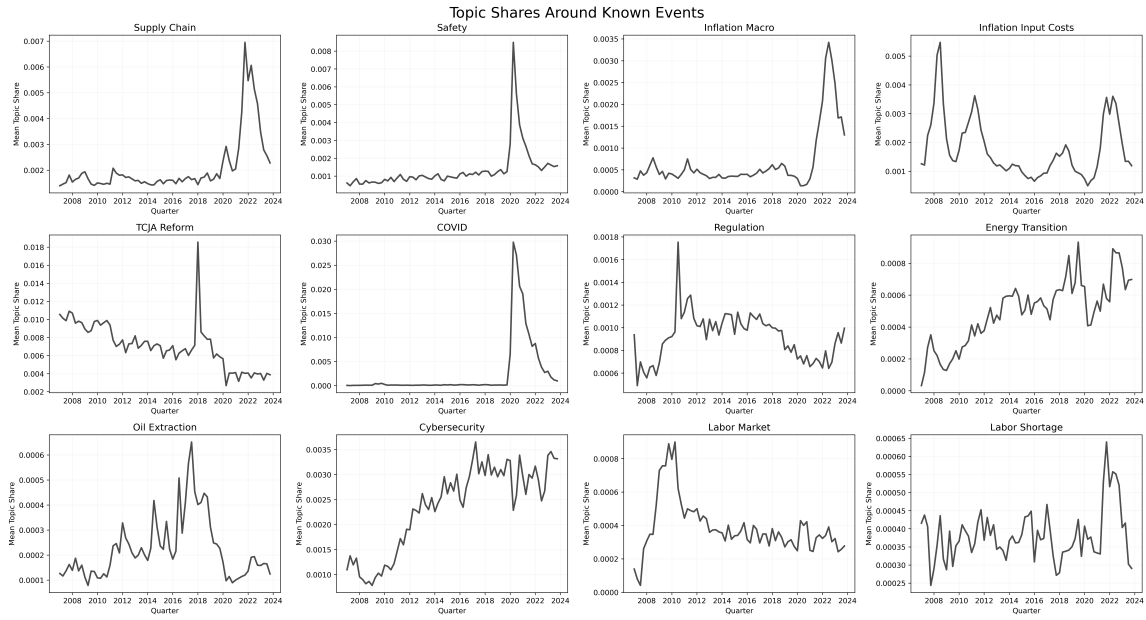


Figure 4. This figure plots mean quarterly shares for twelve topics to show its association with major economic or policy events relevant to that topic. The patterns show an increase in topic emphasis during these events, indicating that the topics capture meaningful variation in managerial discussion rather than noise.

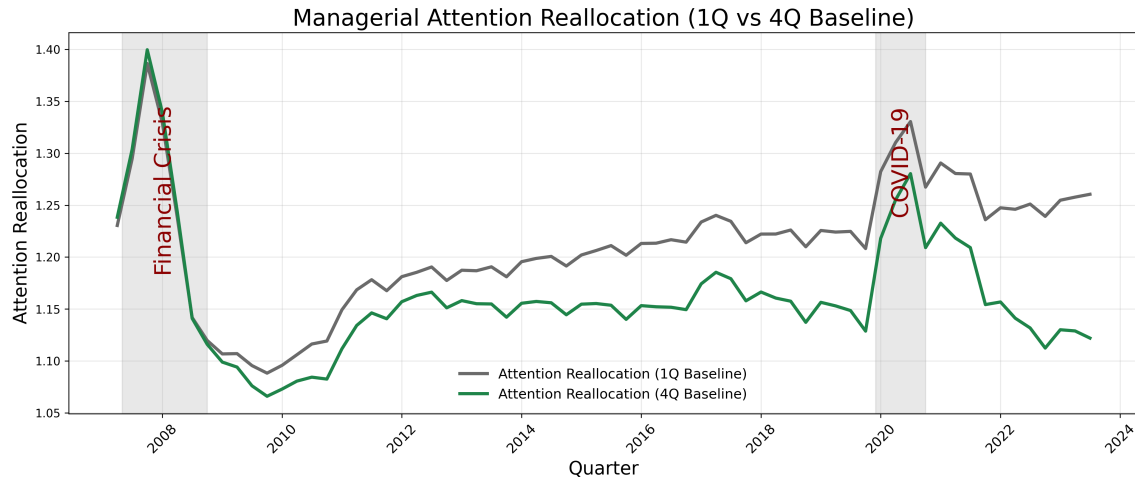


Figure 5. Time series of managerial attention reallocation. This figure plots the quarterly cross-sectional mean of $Attn\ Realloc^{1Q}$ (gray) and $Attn\ Realloc^{4Q}$ (green) from 2007 through 2023. Shaded regions indicate the 2007–2008 financial crisis and the COVID-19 pandemic.

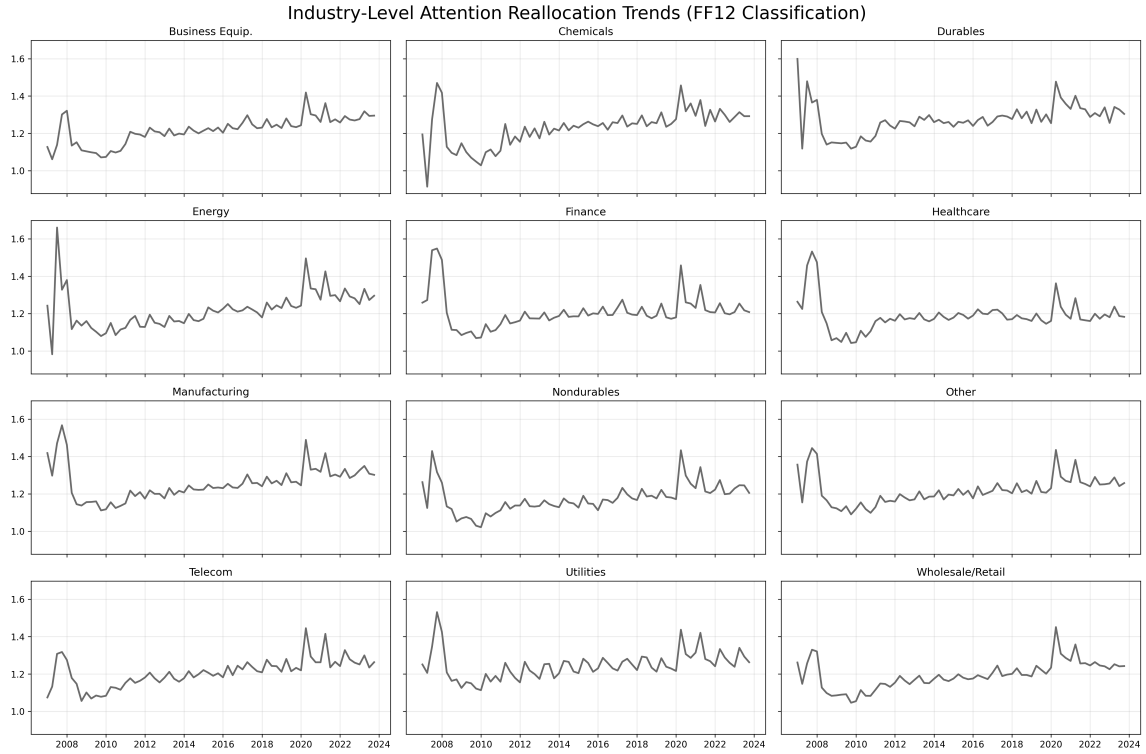


Figure 6. Attention reallocation by industry. This figure plots the quarterly mean of $Attn\ Realloc^{1Q}$ separately for each Fama-French 12 industry group from 2007 through 2023.

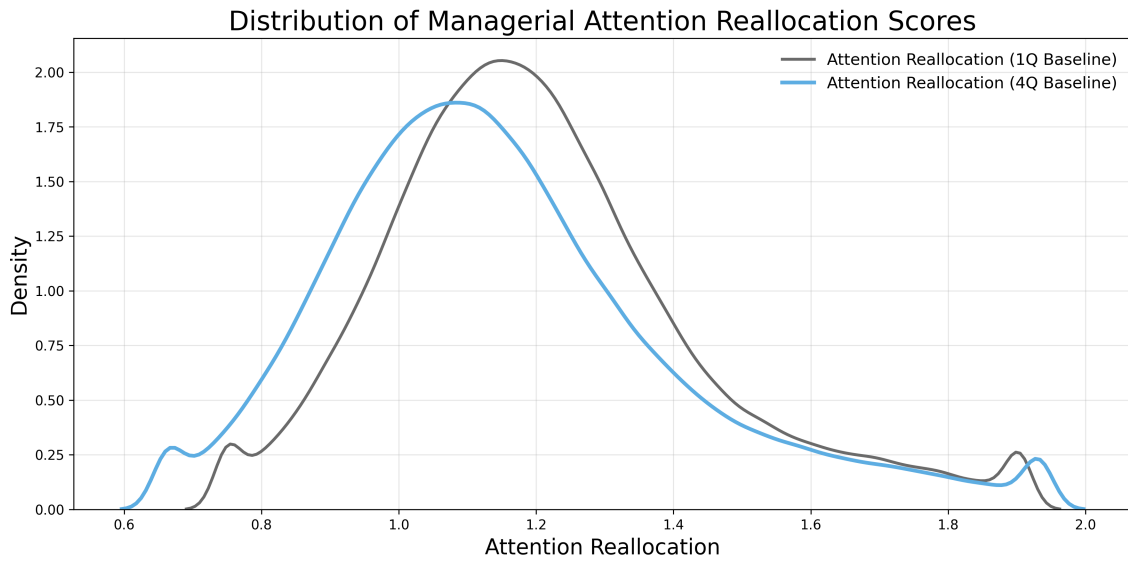


Figure 7. Cross-sectional distribution of attention reallocation. This figure presents kernel density estimates of the pooled cross-sectional distribution of $Attn\ Realloc^{1Q}$ (gray) and $Attn\ Realloc^{4Q}$ (blue) across all firm-quarter observations.

Table 1: Sample Topics and Example Sentences

This table presents a sample of 20 topics identified by the BERTopic model applied to earnings call transcripts from 2007 through 2023. For each topic, I report the manually assigned label and five example sentences assigned to that topic by the model. Topics are identified endogenously through density-based clustering of transformer-based sentence embeddings, and labels are assigned by reviewing the highest-weighted terms from the class-based TF-IDF representation.

Topic ID	Label	Example Sentences
0	Earnings & Adjusted Results	Earnings growth of 13% contributed \$295 million to returns compared to a decline of 8% in the prior year. And 16 companies, 27%, were valued using current year forecast earnings. That strong performance also reflects the fact that we have only used lower forecast earnings for 2 portfolio companies, with a total value of USD 63 million. At the group level, we have achieved an annual cash operating profit of USD 28 million, and that's a very real increase from our first time profit of USD 5 million in 2014. We valued 30 companies on an earnings basis at the 30th of September.
25	Customer Experience & Proposition	So in most cases – in many cases, we have to put an employee at the front of the door to basically control and monitor the customer flow into the store because we have to commit to certain restrictions per – of customer numbers per square meter. In addition to the international expansion, we continue to strengthen our unique customer proposition. So we have a very distinct proposition which drives customers to the store. Most of our customers are giving back to us, and also when you compare that to the closest competitor. Since the first year of our investment in Action when we bought the company from the founders, we've jealously guarded the original customer-centric values of the business as well as bringing an ambitious and long-term mindset.
43	Margins & Profitability	Third, Eversholt has high margins with a low cost base. We have made further improvement in the operating margin and absolute profitability of our Fund Management activities, as you can see here. And that increase in scale delivers a group EBITDA margin in excess of 12%. Beyond this plan, we would expect to see the margin move up further as our younger countries continue to scale and move towards the margins of our more established countries. Over the course of the plan, we expect group EBITDA margin will improve to a little over 12%.
8	COVID-19 Disruption	The world has truly been turned upside down by this global health and economic crisis. This year, we had also asked the investment teams to put each company through a COVID-19 filter, and to reset forecasts and cash flows for any pandemic effect. We're also preparing for the real risk of a second peak of infections at some point somewhere, and have asked management to maintain a minimum USD 500 million cash position from July onwards. If it were not for the pandemic, we would be marking Action up again to reflect the strong Q1 trade. As I said earlier, we came into the COVID-19 crisis in a very good position.

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Topic ID	Label	Example Sentences
32	Brands & Product Launches	Each is differentiated in their respective markets by the strength of our brand. The brand is very well regarded internationally, and we've recently made some attractive investments, which you can see on this slide. Personally, I've been most struck by the energy of the company and the laser-like focus on very low prices and how the exact same store format works in every country Action enters. And we have plenty of other strong performers, including Basic-Fit, Scandlines and ATESTEO, which I haven't talked about today. Ponroy has strong brands, and it sits right on the megatrend of natural health care and well-being.
71	Shareholder Value & EPS Growth	Earnings growth in our portfolio is being good. And of course, the real test of whether this strategy delivers value will be our long-term financial performance and reputation. In the short term, our priorities are to continue to deliver good financial performance, to integrate MIM, and to increase momentum in our investment activity. As I've already said, we continue to see strong earnings growth in much of our portfolio, notwithstanding some impairments. And of course, we're working very hard with the companies that showed earnings decreases to get them back on plan.
13	Cost Savings & Efficiency	The benefits of the tough decisions we've taken in our own business is reflected in our operating costs, which have continued to fall. As I mentioned earlier, we have taken tough actions ourselves to improve cost efficiency. This will allow operating efficiencies to be achieved, which in turn, enables a reduction of operating expenses by at least USD 15 million a year from financial year 2012-13. We have made a lot of progress in reducing costs under Michael's leadership. Costs are approximately USD 110 million lower than 3 years ago, but there is more to do, and Simon will be addressing this alongside determining the right shape for the business.
14	Data, Analytics & Cybersecurity	And through our monthly dashboard monitoring process, we are very focused on supporting our management teams where they have exposure to slowing sectors or geographies or where they face other factors, which were outside their control. We'll look at transaction data if we can get reliable inputs. Fifth, proprietary analytics. With the recent acquisition of Claro, Wilson has added a proprietary workforce analytics offering. But there were also other areas such as data centers and smart grid and energy efficiency that we wanted to focus on also.
369	Positive EBITDA & Turnaround	EBITDA has tripled during our investment period. EBITDA has grown 68% since our investment in 2007. Through acquisitions, growth and operational improvement, EBITDA is up 21% from the time of our investment in 2008. Positively, it includes a reversal of £18 million in relation to an additional asset, which is showing signs of good earnings recovery after significant intervention on our part. As a result, underlying business performance contributed a 10p improvement.

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Topic ID	Label	Example Sentences
21	Acquisitions & M&A	We continue to provide acquisition funding as we see our portfolio companies able to do transactions which are not subject to the same high prices we see elsewhere. And this made it a really attractive acquisition target. The acquisition of MIM from Mizuho was therefore a natural step. This next slide shows you the shape of the business once the MIM acquisition is complete, which we expect to be at the end of January 2011. Our Buyout and Growth Capital businesses have the same mid-market focus, targeting companies with an enterprise value in the range of USD 100 million to USD 1 billion.
195	R&D Investment & Innovation	We made a significant follow-on investment in Scandlines, which has already been a strong investment for the company. That change of focus means a good share of our recent investments have been sourced directly, away from competitive bank-driven auction processes. 3iN and Scandlines keep delivering the cash, and we have some very interesting platform assets in Cirtec and Q which are set to achieve very good growth over the coming years. I'm proud to say that we already did the first investment, the first add-on, and we hope to be able to announce a few further ones over the next 12 months. And our bolt-on activity creates even more strategic and financial upside over time, which will become obvious when we finally move to realization of these investments.
44	Leverage & Net Debt	However, the net debt of USD 352 million is comfortably within our USD 1 billion limit. As an example, the average debt multiple in our buyout portfolio now stands at 4.4x, down from almost 6x, which gives greater headroom to cope with any temporary fluctuations in performance. Our gross debt currently stands at USD 1.7 billion, and taking into account our cash balances, we have net debt of USD 531 million. You can see from this slide that we finished the period of investment assets of USD 3.4 billion and gross debt of USD 1.7 billion. We've also reduced the leverage across the buyout portfolio from around 6x EBITDA to 4.4x, with over 85% of the portfolio not having any maturities due before 2014.
70	Supply Constraints	Chain As we told you last May, we've struggled with operational issues in the supply chain of Action, and that has led to product availability problems, particularly in France, our largest market. It needs solid foundations and a resilient supply chain to really capitalize on the attraction of the format to consumers wherever it opens. But the detail has been carefully considered against our rollout experience so far, and we're well underway in building an organization and a supply chain to manage that growth. We're also concerned about the behaviors arriving as of the need of many PE firms to put dry powder to work. The supply chain was interrupted.
2	Tax Rate	The tax provision for the current quarter included \$5.3 million of favorable impacts from a deferred tax valuation allowance reversal and tax benefits from stock-based compensation, which were partly offset by other items. We recorded an income tax provision of \$200,000 for the quarter, which reflects the continuing impact of the valuation allowance against our deferred tax assets. The effective tax rate for the third fiscal quarter of 2012 includes \$1.1 million of discrete tax benefits for research and development tax credits for the prior three fiscal years, which had a positive impact on the third quarter tax rate. For the full year, the U.S. GAAP tax rate was 16.2% for 2018 and the adjusted tax rate was 19.4%, which was slightly lower than our guided adjusted tax rate of 20% to 21%. Carry deductions reduced our NAV by 39p and the surplus income over costs added 41p.

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Topic ID	Label	Example Sentences
118	Synergies & Deal Rationale	The combination of the MIM team's track record and capabilities and our brand and financial strength position us well to take advantage of these opportunities. We've improved where necessary, for example, in bringing together our buyout and growth capital businesses, so that they might operate more effectively in the market. Management was attracted to track record in the automotive industry, our ability to further internationalize businesses, along with our active partnership approach to drive further efficiencies from across the business. We're satisfied that in all 3 cases, we have bought promising businesses at fair prices with realistic plans to achieve our 2x hurdle. The sale simplifies the group and focuses our people and resources on 2 high-quality businesses.
18	Capital Expenditures	We estimated then that implementation cost will be about USD 30 million, and we have provided for USD 25 million in this period. At the highest level, we started the year with a run rate cost base of USD 185 million or 1.8% of our assets under management. And that means we finished the year, at March 31, 2013, with a cost run rate of USD 140 million or 1.1% of AUM. In 2021, our CapEx increased by USD 10 million or 5.8% to USD 183 million. The driver is the sales of our assets of DC Osla, which was recorded in 2021 and concerns the de facto shift of USD 21.4 million CapEx between 2021 and 2019, which was the year in which the majority of the CapEx for DC Osla was incurred.
10	FX & Currency Translation	The earning hedging in operation in the six-month period was that affected by our core currency borrowings. So for example, we have limited exposure in European financials, which had a significant impact on total market movements, and our value exposure to consumer is much more heavily weighted to Asia. This is principally due to currency and specifically, the share price performance of Adani Power. And finally, as a sterling investor, currency markets have also proved challenging with weakness in the euro and the rupee being particularly relevant for us. We did see some pullback in the valuations of some of our Indian assets, given the challenging supply-side and macroeconomic conditions we face in India.
29	Sustainability & Climate	So moving on to sustainability or ESG, a very big and important, I would say, point of differentiation. And therefore, we have updated our sustainability strategy, and we've decided that we want to commit ourselves to 4 specific developmental goals which are also being embraced by the United Nations. So the first one is about responsible consumption, and we've developed a philosophy around the product pillar. We have committed ourselves to the environmental pillar. So when we launched strategy make sustainability accessible, I think sustainability speaks for itself, but I think the word accessibility requires some explanation.

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Topic ID	Label	Example Sentences
53	Cash Flow & Free Cash Flow	So last year's return benefited from the realization of the original debt warehouse. Debt Management makes significant contribution to our operating cash flow. We've seen considerable improvement in our Private Equity performance, including an impressive run of cash realizations. But strong realizations, good earnings growth and net fee income have been a big contributor at 41p, and 20p of that performance relates to cash realized profits. We've generated very strong realized profits, good earnings growth and a reduction in operating costs.
38	Geographic Exposure	The market opportunity in Europe and North America is driven by similar factors. In five out of these six, we supported their international development. I believe this is unique in the European mid-market, particularly when combined with our presence and experience of markets such as India, China, and most recently, Brazil. Northern Europe has provided our strongest realizations in the year. Another observation I would make is that many of the challenged investments from 2007 to 2009 came out of the U.K. and the Spanish offices.

Table 2: Summary Statistics

This table reports summary statistics for the main variables used in the analysis. The sample consists of 4,332 unique U.S. listed firms and 131,379 firm-quarter observations from 2007 through 2023. Panel A reports the attention reallocation measures. $Attn\ Realloc_t^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter, constructed from earnings call transcripts (Capital IQ) using the BERTopic methodology described in Section III. $Attn\ Realloc_t^{4Q}$ measures the corresponding shift relative to the trailing four-quarter average. Panel B reports cumulative abnormal returns computed using a market model estimated over trading days -255 to -46 (CRSP). $PEAD_t$ is the cumulative abnormal return over trading days $+2$ to $+60$. Panel C reports crash risk measures following Kim, Li, and Zhang (2011). $NCSKEW$ is the negative of the third moment of firm-specific weekly returns scaled by the cubed standard deviation, computed over forward windows of 1, 2, 4, and 8 quarters. W is long run buy and hold return over the same windows. Panels D and E report options market and analyst outcomes, respectively. Panels F and G report subsequent bad-news 8-K filings and adverse environmental and social incidents. Panel H reports subsequent operating performance, and Panel I reports the firm-level control variables. Detailed variable definitions and data sources are provided in Appendix Table A1. All continuous variables are winsorized at the 1st and 99th percentiles.

	(1) Mean	(2) Std. Dev.	(3) P25	(4) Median	(5) P75	(6) N
Panel A: Attention Reallocation Measures						
$Attn\ Realloc_t^{1Q}$	1.203	0.322	0.960	1.145	1.447	131379
$Attn\ Realloc_t^{4Q}$	1.137	0.237	0.975	1.109	1.264	131379
Panel B: Abnormal Returns						
$CAR(-1, +1)$	0.001	0.088	-0.040	0.000	0.042	131379
$CAR(-1, +2)$	-0.000	0.094	-0.044	-0.000	0.044	131379
$CAR(-1, +3)$	-0.000	0.099	-0.047	-0.000	0.046	131379
$CAR(0, +1)$	-0.000	0.084	-0.039	-0.000	0.038	131379
$CAR(-2, +2)$	0.000	0.097	-0.046	0.000	0.046	131379
$PEAD_t$	-0.005	0.223	-0.113	-0.007	0.096	131175
Panel C: Crash Risk						
$NCSKEW_{t+1Q}$	0.071	1.243	-0.837	0.081	0.986	130632
$NCSKEW_{t+2Q}$	0.076	1.101	-0.627	0.065	0.756	129950
$NCSKEW_{t+4Q}$	0.083	1.000	-0.482	0.056	0.606	128892
$NCSKEW_{t+8Q}$	0.087	0.938	-0.391	0.052	0.524	126989
W_{t+1Q}	-0.005	0.202	-0.112	-0.010	0.088	130632
W_{t+2Q}	-0.008	0.305	-0.172	-0.021	0.127	129950
W_{t+4Q}	-0.016	0.470	-0.273	-0.042	0.183	128892
W_{t+8Q}	-0.031	0.716	-0.432	-0.089	0.255	126989
Panel D: Options Market						
$Abn\ PCIV_t$	0.026	0.086	-0.020	0.019	0.065	103828

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	(cont.)					
	(1)	(2)	(3)	(4)	(5)	(6)
	Mean	Std. Dev.	P25	Median	P75	N
<i>IV JUMP_t</i>	-0.050	0.084	-0.091	-0.042	-0.004	97526
<i>IV JUMP_{t+1}</i>	-0.053	0.076	-0.088	-0.043	-0.014	91519
Panel E: Analyst Behavior						
<i>Rev Intensity_t</i>	0.743	0.431	0.500	1.000	1.000	67049
<i>Boldness_t</i>	0.487	0.351	0.188	0.500	0.778	53624
<i>Dispersion_t</i>	0.193	0.498	0.028	0.068	0.171	58489
<i>Forecast Error_t</i>	0.166	0.309	0.028	0.066	0.165	57294
<i>Disagreement_t</i>	0.226	0.360	0.040	0.097	0.240	54533
<i>Cons Revision_t</i>	-0.000	0.035	-0.001	0.001	0.003	75851
<i>Cons Dispersion_t</i>	0.006	0.026	0.000	0.001	0.003	72345
Panel F: Mandatory Disclosures (8-K)						
<i>Bad News 8K_{t+90d}</i>	0.101	0.345	0.000	0.000	0.000	130829
<i>Bad News 8K_{t+180d}</i>	0.216	0.541	0.000	0.000	1.000	130829
<i>Bad News 8K_{t+1Y}</i>	0.469	0.895	0.000	1.000	1.000	130829
<i>Bad News 8K_{t+2Y}</i>	0.941	1.410	1.000	1.000	2.000	130829
<i>Item 5.02 Filings_{t+1Y}</i>	2.601	2.003	1.000	2.000	4.000	130829
<i>Terminations_{t+1Y}</i>	0.180	0.453	0.000	0.000	0.000	130829
<i>Impairments_{t+1Y}</i>	0.031	0.204	0.000	0.000	0.000	130829
<i>Non Reliance_{t+1Y}</i>	0.015	0.135	0.000	0.000	0.000	130829
<i>Delisting_{t+1Y}</i>	0.125	0.482	0.000	0.000	0.000	130829
Panel G: Adverse ESG Incidents						
<i>ESG Incidents_{t+3M}</i>	0.193	0.952	0.000	0.000	0.000	131379
<i>ESG Incidents_{t+6M}</i>	0.386	1.783	0.000	0.000	0.000	131379
<i>ESG Incidents_{t+1Y}</i>	0.770	3.418	0.000	0.000	0.000	131379
<i>Severity_{t+3M}</i>	0.179	0.581	0.000	0.000	0.000	131379
<i>Severity_{t+6M}</i>	0.268	0.693	0.000	0.000	0.000	131379
<i>Severity_{t+1Y}</i>	0.377	0.795	0.000	0.000	0.000	131379
<i>Reach_{t+3M}</i>	0.141	0.490	0.000	0.000	0.000	131379
<i>Reach_{t+6M}</i>	0.207	0.572	0.000	0.000	0.000	131379
<i>Reach_{t+1Y}</i>	0.287	0.649	0.000	0.000	0.000	131379
<i>ESG Incidents_{t-1}</i>	0.084	0.284	0.000	0.000	0.000	131379
Panel H: Operational Performance						
<i>ROA_{t+1Q}</i>	-0.005	0.056	-0.005	0.007	0.019	129984
<i>ROA_{t+2Q}</i>	-0.005	0.057	-0.005	0.007	0.019	128372
<i>Tobin's Q_{t+1Q}</i>	2.146	1.643	1.130	1.567	2.451	130019
<i>Tobin's Q_{t+2Q}</i>	2.143	1.640	1.130	1.567	2.447	128409
Panel I: Control Variables						

Continued on next page

	(cont.)					
	(1)	(2)	(3)	(4)	(5)	(6)
	Mean	Std. Dev.	P25	Median	P75	N
<i>Firm Size</i> _{<i>t</i>-1}	14.193	2.020	12.791	14.187	15.522	131379
<i>Return</i> _{<i>t</i>-1}	0.021	0.430	-0.227	-0.024	0.189	131379
<i>BEME</i> _{<i>t</i>-1}	0.600	0.797	0.221	0.440	0.782	131379
<i>Investment</i> _{<i>t</i>-1}	0.023	0.032	0.004	0.012	0.028	131379
<i>Leverage</i> _{<i>t</i>-1}	0.249	0.219	0.064	0.213	0.372	131379
<i>Tobin's Q</i> _{<i>t</i>-1}	2.155	1.661	1.132	1.569	2.463	131379
<i>R&D</i> _{<i>t</i>-1}	0.014	0.028	0.000	0.000	0.017	131379
<i>Dummy R&D Missing</i> _{<i>t</i>-1}	0.470	0.499	0.000	0.000	1.000	131379
<i>Complexity</i> _{<i>t</i>-1}	0.447	0.170	0.321	0.417	0.546	131379
<i>Inst Own</i> _{<i>t</i>-1}	0.720	0.259	0.596	0.800	0.917	131379
<i>Segment HHI</i> _{<i>t</i>-1}	0.286	0.145	0.180	0.333	0.333	131379
<i>RVOL</i> _{<i>t</i>-1} ^{pre}	0.026	0.017	0.015	0.021	0.032	131379
<i>Amihud</i> _{<i>t</i>-1} ^{pre}	0.086	0.407	0.000	0.001	0.010	131379
<i>SUE</i> _{<i>t</i>-1}	-0.161	3.000	-0.729	-0.022	0.649	131379
<i>DTURN</i> _{<i>t</i>-1}	-0.000	0.080	-0.035	-0.002	0.030	131183
<i>ACCM</i> _{<i>t</i>-1}	0.240	0.209	0.106	0.181	0.307	130215
<i>NCSKEW</i> _{<i>t</i>-1}	0.057	1.246	-0.870	0.067	0.981	131226
<i>σ</i> _{<i>t</i>-1}	0.048	0.031	0.027	0.040	0.060	131226
<i>W</i> _{<i>t</i>-1}	-0.002	0.013	-0.008	-0.001	0.005	131226

Table 3: Attention Reallocation and Announcement Returns

This table reports estimates from regressions of cumulative abnormal returns on managerial attention reallocation. The dependent variable in columns (1) through (5) is the cumulative abnormal return over the indicated window around the earnings call, computed using a market model estimated over trading days -255 to -46 . The dependent variable in column (6) is the post-earnings announcement drift, $CAR(+2, +60)$. $Attn\ Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All control variables are lagged and defined in Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $CAR(-1, +1)$	(2) $CAR(-1, +2)$	(3) $CAR(-1, +3)$	(4) $CAR(-2, +2)$	(5) $CAR(0, +1)$	(6) $PEAD_t$
$Attn\ Realloc_t^{1Q}$	-0.005*** (-4.567)	-0.005*** (-4.360)	-0.006*** (-4.426)	-0.006*** (-4.224)	-0.005*** (-4.369)	-0.006** (-2.244)
$Firm\ Size_{t-1}$	0.027*** (19.826)	0.029*** (19.232)	0.031*** (19.040)	0.031*** (19.472)	0.026*** (20.978)	-0.016*** (-3.850)
$Past\ Return_{t-1}$	-0.023*** (-19.210)	-0.029*** (-18.686)	-0.035*** (-19.203)	-0.033*** (-20.072)	-0.019*** (-16.781)	-0.223*** (-37.171)
SUE_{t-1}	0.002*** (8.431)	0.002*** (8.150)	0.002*** (8.227)	0.002*** (8.143)	0.002*** (8.249)	0.004*** (6.903)
$Investment_{t-1}$	-0.106*** (-7.015)	-0.127*** (-7.857)	-0.129*** (-7.168)	-0.128*** (-7.612)	-0.101*** (-6.839)	-0.028 (-0.393)
$Leverage_{t-1}$	0.001 (0.322)	-0.002 (-0.451)	-0.003 (-0.612)	-0.003 (-0.639)	-0.001 (-0.411)	0.005 (0.397)
$Tobin's\ Q_{t-1}$	-0.011*** (-18.225)	-0.012*** (-18.035)	-0.013*** (-17.523)	-0.013*** (-19.055)	-0.010*** (-17.814)	-0.012*** (-5.360)
$Book-to-Market_{t-1}$	-0.010*** (-6.457)	-0.012*** (-6.755)	-0.013*** (-7.471)	-0.013*** (-7.012)	-0.010*** (-7.063)	0.012*** (2.656)
$R\&D_{t-1}$	0.197*** (4.979)	0.204*** (4.339)	0.241*** (4.719)	0.245*** (5.216)	0.163*** (4.205)	0.463*** (3.339)
$R\&D\ Missing_{t-1}$	-0.000 (-0.067)	-0.001 (-0.422)	-0.000 (-0.086)	-0.000 (-0.189)	-0.000 (-0.251)	0.002 (0.412)
$Complexity_{t-1}$	0.001 (0.429)	0.000 (0.015)	-0.000 (-0.013)	0.000 (0.010)	0.002 (0.647)	-0.010 (-1.287)
$Inst\ Own_{t-1}$	-0.027*** (-7.118)	-0.029*** (-6.958)	-0.031*** (-6.758)	-0.033*** (-7.656)	-0.025*** (-7.105)	-0.039*** (-3.595)
$Segment\ HHI_{t-1}$	0.007** (1.988)	0.007* (1.711)	0.008* (1.805)	0.007* (1.813)	0.005* (1.736)	0.038*** (4.194)
$RVOL_{t-1}^{pre}$	0.441*** (9.960)	0.482*** (9.750)	0.535*** (9.129)	0.623*** (11.860)	0.375*** (9.362)	0.916*** (4.279)
$Amihud_{t-1}^{pre}$	0.013*** (9.409)	0.014*** (9.096)	0.015*** (9.173)	0.015*** (9.029)	0.012*** (8.784)	0.028*** (5.763)
<i>Constant</i>	-0.338*** (-18.341)	-0.371*** (-17.799)	-0.399*** (-17.608)	-0.395*** (-18.017)	-0.324*** (-19.278)	0.242*** (3.874)
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES	YES
<i>Observations</i>	131169	131169	131169	131169	131169	130969
<i>R-squared</i>	0.085	0.090	0.095	0.095	0.085	0.278

Table 4: Attention Reallocation, Crash Risk, and Long-Run Returns

This table reports estimates from regressions of crash risk and long-run returns on managerial attention reallocation. In Panel A, the dependent variable is $NCSKEW$, the negative coefficient of skewness of firm-specific weekly returns, computed over forward windows of 1, 2, 4, and 8 quarters following the earnings call, following Kim et al. (2011b). In Panel B, the dependent variable is $\bar{W}$, size-adjusted buy-and-hold abnormal returns over the same forward windows. $Attn\ Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications include the standard crash risk controls: $DTURN_{t-1}$, $NCSKEW_{t-1}$, σ_{t-1} , and $\bar{W}_{t-1}$, as well as $Firm\ Size_{t-1}$, $Past\ Return_{t-1}$, $Inst\ Own_{t-1}$, ROA_{t-1} , SUE_{t-1} , $BEME_{t-1}$, HHI_{t-1} , $ACCM_{t-1}$, $Investment_{t-1}$, $Leverage_{t-1}$, $Tobin's\ Q_{t-1}$, $R\&D_{t-1}$, and $Complexity_{t-1}$. I suppress the control coefficients for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Dependent Variable = NCSKEW			
	(1)	(2)	(3)	(4)
Panel A: Crash Risk	$NCSKEW_{t+1Q}$	$NCSKEW_{t+2Q}$	$NCSKEW_{t+4Q}$	$NCSKEW_{t+8Q}$
$Attn\ Realloc_t^{1Q}$	0.042*** (3.305)	0.032*** (2.584)	0.029** (2.419)	0.022* (1.865)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	129073	128399	127355	125479
<i>R-squared</i>	0.073	0.112	0.173	0.284
Panel B: Long-Run Returns	W_{t+1Q}	W_{t+2Q}	W_{t+4Q}	W_{t+8Q}
$Attn\ Realloc_t^{1Q}$	-0.007*** (-3.454)	-0.011*** (-3.313)	-0.015*** (-2.716)	-0.020* (-1.876)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	129073	128399	127355	125479
<i>R-squared</i>	0.125	0.196	0.303	0.498

Table 5: Attention Reallocation and Analyst Responses

This table reports estimates from regressions of analyst behavior outcomes on managerial attention reallocation. Columns (1) and (2) measure analyst activity: $Rev Intensity_t$ is the fraction of analysts who revise their forecast within 10 trading days of the earnings call, and $Bold Share_t$ is the fraction of eligible analysts whose first forecast issued from trading days +1 through +10 after the call moves farther from the prevailing consensus than the analyst's immediately preceding forecast for the same fiscal-period end, following Clement and Tse (2005). Columns (3) and (4) measure the information environment: $Dispersion_t$ is the cross-sectional standard deviation of outstanding analyst forecasts following Diether et al. (2002), and $Disagreement_t$ is the mean absolute deviation of individual forecasts from the consensus. Columns (5) and (6) measure earnings outcomes: SUE_{t+1} is standardized unexpected earnings scaled by price following Livnat and Mendenhall (2006), and $Cons Dispersion_{t+1}$ is consensus forecast dispersion scaled by price. $Attn Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for firm and analyst characteristics including $Firm Size_{t-1}$, $Past Return_{t-1}$, SUE_{t-1} , $Investment_{t-1}$, $Leverage_{t-1}$, $Tobin's Q_{t-1}$, $BEME_{t-1}$, $R\&D_{t-1}$, $Complexity_{t-1}$, $Inst Own_{t-1}$, HHI_{t-1} , $RVOL_{t-1}^{pre}$, $Amihud_{t-1}^{pre}$, and pre-call analyst dispersion; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Dependent Variable = Analyst outcomes					
	(1)	(2)	(3)	(4)	(5)	(6)
	$Rev Intensity_t$	$Bold Share_t$	$Dispersion_t$	$Disagreement_t$	SUE_{t+1}	$Cons Dispersion_t$
$Attn Realloc_t^{1Q}$	0.044*** (2.981)	-0.049*** (-7.761)	0.020*** (2.667)	0.011** (2.134)	-0.001** (-2.481)	0.000* (1.847)
<i>Controls</i>	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES	YES
<i>Observations</i>	62371	49084	56242	49826	69235	68316
<i>R-squared</i>	0.476	0.073	0.477	0.483	0.186	0.621

Table 6: Attention Reallocation and Options Market Pricing

This table reports estimates from regressions of options market variables on managerial attention reallocation. In column (1), the dependent variable is $Abn\ PCIV_t$, the average implied volatility over trading days -5 to -1 minus the firm's 60-trading-day historical average (OptionMetrics). In column (2), the dependent variable is $IV\ JUMP_t$, the change in implied volatility from trading day -1 to trading day $+1$ around the earnings call. In column (3), the dependent variable is $IV\ JUMP_{t+1}$, the corresponding measure for the following quarter's earnings call. All implied volatilities are from the OptionMetrics volatility surface for 30-day, 50-delta call options. $Attn\ Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for $Firm\ Size_{t-1}$, $Past\ Return_{t-1}$, SUE_{t-1} , $Investment_{t-1}$, $Leverage_{t-1}$, $Tobin's\ Q_{t-1}$, $BEME_{t-1}$, $R\&D_{t-1}$, $Complexity_{t-1}$, $Inst\ Own_{t-1}$, HHI_{t-1} , $RVOL_{t-1}^{pre}$, and $Amihud_{t-1}^{pre}$; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	Dependent Variable =		
	(1) $Abn\ PCIV_t$	(2) $IV\ JUMP_t$	(3) $IV\ JUMP_{t+1}$
$Attn\ Realloc_t^{1Q}$	-0.030*** (-11.818)	0.036*** (15.739)	0.002** (2.051)
<i>Controls</i>	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES
<i>Observations</i>	103649	97331	91345
<i>R-squared</i>	0.297	0.195	0.237

Table 7: Attention Reallocation and Bad-News Mandatory Disclosures

This table reports estimates from regressions of bad-news 8-K filings on managerial attention reallocation. In Panel A, the dependent variable is the count of bad-news 8-K filings within forward windows of 90 days, 180 days, one year, and two years following the earnings call. The main bad-news index includes filings reporting the termination of a material agreement (Item 1.02), bankruptcy or receivership (Item 1.03), triggering events affecting debt obligations (Item 2.04), exit or disposal costs (Item 2.05), material impairments (Item 2.06), notice of delisting (Item 3.01), auditor changes (Item 4.01), nonreliance on previously issued financial statements (Item 4.02), and suspension of trading in benefit plans (Item 5.04), classified following [Lerman and Livnat \(2010\)](#). Item 5.02 director and officer departure-related filings are excluded from the main index and examined separately in Appendix Table B5 because this item encompasses several types of personnel disclosures. Panel B reports results for the individual components of the main bad-news index over the one-year forward window. All regressions are estimated using Poisson pseudo-maximum likelihood with high-dimensional fixed effects. $Attn\ Realloc_t^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for the number of bad-news 8-K filings during the 365 days before the earnings call, firm size, past return, standardized unexpected earnings, investment, leverage, Tobin's Q , book-to-market, R&D expenditures, firm complexity, institutional ownership, segment concentration, pre-call realized volatility, and pre-call illiquidity; coefficients on these controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered by firm. t -statistics are reported in parentheses. Results using total 8-K filing counts are reported in the Appendix. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
Panel A: Bad-news 8-K filings	<i>Bad News 8K_{t+90d}</i>	<i>Bad News 8K_{t+180d}</i>	<i>Bad News 8K_{t+1Y}</i>	<i>Bad News 8K_{t+2Y}</i>
<i>Attn Realloc_t^{1Q}</i>	0.240*** (5.659)	0.164*** (6.041)	0.080*** (3.927)	0.046** (2.460)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	110951	117543	120907	114322
<i>Pseudo R-squared</i>	0.119	0.151	0.197	0.239
Panel B: Categories of 8-K Filings	<i>Terminations_{t+1Y}</i>	<i>Non Reliance_{t+1Y}</i>	<i>Delisting_{t+1Y}</i>	<i>Bankruptcy_{t+1Y}</i>
<i>Attn Realloc_t^{1Q}</i>	0.104*** (3.593)	0.135*** (2.871)	0.112** (2.348)	0.263*** (3.261)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	93584	62189	62189	35278
<i>Pseudo R-squared</i>	0.121	0.067	0.322	0.393

Table 8: Attention Reallocation and Adverse ESG Incidents

This table reports estimates from regressions of adverse environmental, social, and governance (ESG) incidents on managerial attention reallocation. In Panel A, the dependent variable is the natural logarithm of one plus the count of adverse ESG incidents from RepRisk within forward windows of 3, 6, and 12 months following the earnings call. In Panel B, the dependent variable is the average severity of incidents within the same forward windows, where severity is coded by RepRisk on a scale reflecting the potential impact of the event. In Panel C, the dependent variable is the average reach of incidents, reflecting the breadth of media coverage. $Attn\ Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for $Past\ Incidents_{t-1}$ (lagged incident count), $Firm\ Size_{t-1}$, $Past\ Return_{t-1}$, SUE_{t-1} , $Investment_{t-1}$, $Leverage_{t-1}$, $Tobin's\ Q_{t-1}$, $BEM E_{t-1}$, $R\&D_{t-1}$, $Complexity_{t-1}$, $Inst\ Own_{t-1}$, HHI_{t-1} , $RVOL_{t-1}^{pre}$, and $Amihud_{t-1}^{pre}$; coefficients on controls are suppressed for brevity. Variable definitions are provided in Appendix Table A1. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)
Panel A: Number of Incidents	$ESG\ Incidents_{t+3M}$	$ESG\ Incidents_{t+6M}$	$ESG\ Incidents_{t+1Y}$
$Attn\ Realloc_t^{1Q}$	0.010*** (3.642)	0.014*** (3.967)	0.023*** (5.080)
<i>Controls</i>	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES
<i>Observations</i>	130442	130442	130442
<i>R-squared</i>	0.621	0.706	0.774
Panel B: Severity of incidents	$Severity_{t+3M}$	$Severity_{t+6M}$	$Severity_{t+1Y}$
$Attn\ Realloc_t^{1Q}$	0.013** (2.505)	0.016** (2.500)	0.023*** (3.244)
<i>Controls</i>	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES
<i>Observations</i>	130442	130442	130442
<i>R-squared</i>	0.455	0.518	0.584
Panel C: Reach of incidents	$Reach_{t+3M}$	$Reach_{t+6M}$	$Reach_{t+1Y}$
$Attn\ Realloc_t^{1Q}$	0.011** (2.511)	0.010* (1.930)	0.012** (2.005)
<i>Controls</i>	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES
<i>Observations</i>	130442	130442	130442

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	(1) Next Year Year	(2) Next Year Year	(3) Next Year Year
<i>R-squared</i>	0.436	0.493	0.553

Table 9: Attention Reallocation and Subsequent Firm Performance

This table examines the relation between managerial attention reallocation and subsequent firm performance. Panel A reports estimates from regressions of future return on assets (ROA) on managerial attention reallocation. Panel B reports estimates from regressions of future Tobin's Q on managerial attention reallocation. The dependent variables are measured one, two, and three quarters following the earnings call. $Attn\ Realloc^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications include the full set of control variables used in the baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Operating Performance			
	(1) ROA_{t+1Q}	(2) ROA_{t+2Q}	(3) ROA_{t+3Q}
$Attn\ Realloc_t^{1Q}$	-0.001** (-2.148)	-0.001** (-2.214)	-0.001 (-1.273)
<i>Controls</i>	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES
<i>Observations</i>	129695	128076	126361
<i>R-squared</i>	0.628	0.616	0.608
Panel B: Firm Valuation			
	(1) $Tobin's\ Q_{t+1Q}$	(2) $Tobin's\ Q_{t+2Q}$	(3) $Tobin's\ Q_{t+3Q}$
$Attn\ Realloc_t^{1Q}$	-0.058*** (-7.133)	-0.061*** (-6.420)	-0.049*** (-4.451)
<i>Controls</i>	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES
<i>Observations</i>	129713	128107	126412
<i>R-squared</i>	0.858	0.822	0.799

Table 10: Category-Level Drivers of Market and Disclosure Outcomes

This table examines which content categories of managerial attention reallocation drive announcement returns, crash risk, long-run returns, and bad-news 8-K filings. I decompose attention reallocation into 12 economically distinct content categories and assign each BERTopic topic to one of the 12 categories; the classification procedure is described in Appendix C1. All 12 categories enter each regression jointly, so a coefficient reports the outcome associated with shifting attention toward that category while holding attention to the remaining 11 fixed. Panel A reports coefficients from regressions of cumulative abnormal returns (CAR) over the indicated windows around the earnings call, computed using a market model estimated over trading days -255 to -46 ; column (6) reports post-earnings announcement drift, $CAR(+2, +60)$. Panel B reports estimates for crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters following the call. Panel C reports long-run returns, measured as the size-adjusted buy-and-hold abnormal return $\bar{W}$ over the same horizons. Panel D reports Poisson pseudo-maximum-likelihood estimates for the count of bad-news 8-K filings within forward windows of 90 days, 180 days, 1 year, and 2 years following the call. All specifications include firm and year-quarter fixed effects and the full set of controls used in the baseline regressions; variable definitions are provided in Appendix Table A1. Standard errors are clustered at the firm level, and t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns	(1)	(2)	(3)	(4)	(5)	(6)
	$CAR(-1, +1)$	$CAR(-1, +2)$	$CAR(-1, +3)$	$CAR(-2, +2)$	$CAR(0, +1)$	$PEAD_t$
<i>Risk & Uncertainty</i>	-0.104*** (-6.966)	-0.106*** (-6.673)	-0.107*** (-6.384)	-0.128*** (-7.707)	-0.099*** (-6.875)	0.020 (0.552)
<i>Strategy & Growth</i>	-0.050*** (-8.527)	-0.051*** (-8.250)	-0.053*** (-8.112)	-0.050*** (-7.741)	-0.047*** (-8.278)	-0.012 (-0.828)
<i>Operations & Supply Chain</i>	-0.047*** (-6.230)	-0.049*** (-5.980)	-0.051*** (-5.961)	-0.049*** (-5.717)	-0.041*** (-5.676)	-0.066*** (-3.539)
<i>Corp. Actions & Cap. Struct</i>	0.030*** (6.296)	0.029*** (5.707)	0.030*** (5.709)	0.032*** (6.050)	0.026*** (5.736)	-0.009 (-0.761)
<i>People & Governance</i>	0.007** (2.552)	0.008*** (2.878)	0.010*** (3.337)	0.006** (2.255)	0.008*** (3.367)	-0.003 (-0.404)
<i>Achievement & Confidence</i>	0.014* (1.778)	0.014* (1.657)	0.012 (1.266)	0.016* (1.750)	0.010 (1.225)	0.014 (0.703)
<i>Customer & Competition</i>	-0.018** (-2.562)	-0.019** (-2.523)	-0.017** (-2.112)	-0.019** (-2.383)	-0.015** (-2.243)	-0.031* (-1.802)
<i>Environment & Sustainability</i>	0.002 (0.183)	0.007 (0.594)	0.006 (0.438)	0.004 (0.294)	0.002 (0.230)	0.057* (1.900)
<i>Financial Perform. & Earnings</i>	0.004* (1.700)	0.006** (2.283)	0.006** (2.208)	0.007** (2.569)	0.005** (1.966)	0.016*** (2.622)
<i>External & Macro Shocks</i>	-0.007 (-0.667)	-0.015 (-1.369)	-0.015 (-1.378)	-0.019* (-1.736)	-0.007 (-0.776)	-0.044* (-1.785)
<i>Industry Context</i>	-0.002 (-0.515)	-0.003 (-0.755)	-0.004 (-0.980)	-0.004 (-0.907)	-0.002 (-0.594)	-0.010 (-1.086)
<i>Legal & Regulatory</i>	0.018* (1.649)	0.027** (2.213)	0.020 (1.582)	0.037*** (2.988)	0.021* (1.958)	-0.014 (-0.471)
<i>Controls</i>	YES	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES	YES
<i>Observations</i>	131169	131169	131169	131169	131169	130969
<i>R-squared</i>	0.103	0.107	0.110	0.112	0.103	0.279

Panel B: Crash Risk for the Next Period				
	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
<i>Risk & Uncertainty</i>	-0.411** (-1.972)	-0.150 (-0.747)	-0.302 (-1.505)	-0.513** (-2.561)
<i>Strategy & Growth</i>	0.054 (0.610)	0.091 (1.077)	0.117 (1.347)	0.111 (1.295)
<i>Operations & Supply Chain</i>	0.033 (0.325)	0.089 (0.884)	0.109 (1.060)	0.138 (1.292)
<i>Corp. Actions & Cap. Struct</i>	0.226*** (3.201)	0.277*** (4.087)	0.177*** (2.579)	0.228*** (3.259)
<i>People & Governance</i>	0.099*** (2.641)	-0.003 (-0.076)	-0.005 (-0.175)	-0.015 (-0.495)
<i>Achievement & Confidence</i>	-0.174 (-1.463)	-0.159 (-1.375)	0.024 (0.195)	0.067 (0.543)
<i>Customer & Competition</i>	0.064 (0.601)	0.158 (1.544)	0.006 (0.058)	-0.105 (-1.015)
<i>Environment & Sustainability</i>	0.130 (0.752)	0.255 (1.459)	0.194 (1.079)	0.516*** (2.707)
<i>Financial Perform. & Earnings</i>	-0.046 (-1.248)	-0.063* (-1.824)	-0.015 (-0.409)	-0.043 (-1.159)
<i>External & Macro Shocks</i>	0.069 (0.486)	-0.013 (-0.103)	0.124 (0.913)	0.059 (0.418)
<i>Industry Context</i>	0.071 (1.419)	0.054 (1.111)	-0.017 (-0.358)	-0.027 (-0.544)
<i>Legal & Regulatory</i>	0.194 (1.200)	-0.001 (-0.005)	0.082 (0.488)	0.275 (1.571)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	128432	127765	126734	124863
<i>R-squared</i>	0.074	0.113	0.174	0.285

Panel C: Long-Run Returns for the Next Period				
	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
<i>Risk & Uncertainty</i>	0.005** (2.366)	0.005*** (3.284)	0.003*** (3.191)	0.002*** (3.434)
<i>Strategy & Growth</i>	-0.000 (-0.092)	0.000 (0.279)	0.000 (1.107)	0.000 (0.452)
<i>Operations & Supply Chain</i>	-0.002* (-1.692)	-0.001 (-1.560)	-0.001 (-1.069)	-0.001*** (-3.398)
<i>Corp. Actions & Cap. Struct</i>	-0.002*** (-2.867)	-0.002*** (-3.557)	-0.001*** (-3.433)	-0.001*** (-2.727)
<i>People & Governance</i>	-0.002*** (-5.500)	-0.000 (-0.793)	-0.000 (-1.227)	-0.000*** (-2.795)
<i>Achievement & Confidence</i>	0.002 (1.428)	-0.000 (-0.013)	-0.000 (-0.671)	-0.000 (-1.315)
<i>Customer & Competition</i>	-0.000 (-0.181)	-0.001* (-1.713)	-0.001** (-2.391)	-0.000* (-1.722)
<i>Environment & Sustainability</i>	0.001 (0.268)	0.003** (2.198)	0.002*** (2.906)	0.001 (1.533)
<i>Financial Perform. & Earnings</i>	0.000 (1.275)	0.000 (0.694)	0.000** (2.456)	0.000** (2.280)
<i>External & Macro Shocks</i>	-0.002	0.002**	-0.000	0.000

Panel C: Long-Run Returns for the Next Period (continued)				
	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
<i>Industry Context</i>	(-1.321) -0.001	(1.962) -0.001	(-0.429) -0.000	(1.107) -0.000
<i>Legal & Regulatory</i>	(-1.397) -0.003* (-1.923)	(-1.418) 0.001 (0.582)	(-0.078) 0.000 (0.204)	(-0.957) 0.000 (0.094)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	129789	129116	128070	126165
<i>R-squared</i>	0.091	0.143	0.242	0.456

Panel D: Filing of 8-K Bad News				
	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
<i>Risk & Uncertainty</i>	0.271 (1.278)	0.270 (1.511)	0.252* (1.806)	0.113 (1.026)
<i>Strategy & Growth</i>	0.287*** (3.014)	0.220*** (3.100)	0.163*** (2.653)	0.129** (2.368)
<i>Operations & Supply Chain</i>	0.033 (0.320)	0.078 (0.848)	0.215*** (2.805)	0.225*** (3.101)
<i>Corp. Actions & Cap. Struct</i>	0.595*** (6.987)	0.517*** (7.334)	0.288*** (5.347)	0.168*** (3.708)
<i>People & Governance</i>	0.164*** (3.177)	0.062* (1.848)	0.086*** (4.380)	0.046*** (2.835)
<i>Achievement & Confidence</i>	0.096 (0.766)	-0.038 (-0.374)	-0.096 (-1.025)	-0.121 (-1.533)
<i>Customer & Competition</i>	-0.093 (-0.795)	0.066 (0.716)	0.046 (0.627)	0.049 (0.747)
<i>Environment & Sustainability</i>	0.082 (0.349)	0.052 (0.252)	0.195 (1.322)	0.262** (2.013)
<i>Financial Perform. & Earnings</i>	0.044 (1.161)	-0.027 (-0.936)	-0.035 (-1.226)	-0.026 (-1.090)
<i>External & Macro Shocks</i>	-0.216 (-1.223)	-0.055 (-0.426)	0.020 (0.179)	0.019 (0.210)
<i>Industry Context</i>	-0.034 (-0.645)	-0.015 (-0.381)	-0.010 (-0.327)	0.025 (0.914)
<i>Legal & Regulatory</i>	0.048 (0.267)	-0.060 (-0.426)	-0.068 (-0.640)	-0.137 (-1.519)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	130295	130500	130573	130579
<i>Pseudo R-squared</i>	0.072	0.094	0.131	0.192

Table 11: Signed Attention Reallocation and Market Outcomes

This table decomposes category-level attention reallocation into positive and negative shifts to examine whether the relation between attention reallocation and stock market outcomes is driven by increasing or decreasing attention to particular categories. A positive shift reflects an increase in a category's share of call content relative to the prior quarter, while a negative shift reflects a decrease. Panel A reports announcement returns over five event windows. Panel B reports firm-specific returns over four forward horizons. All specifications include the full set of control variables defined in Table A1, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns					
	(1) $CAR(-1, +1)$	(2) $CAR(-1, +2)$	(3) $CAR(-1, +3)$	(4) $CAR(-2, +2)$	(5) $CAR(0, +1)$
<i>Risk & Uncertainty</i> ⁺	-0.287*** (-13.711)	-0.301*** (-13.699)	-0.304*** (-13.307)	-0.332*** (-14.712)	-0.285*** (-14.014)
<i>Risk & Uncertainty</i> ⁻	0.076*** (3.981)	0.084*** (4.034)	0.085*** (3.830)	0.072*** (3.325)	0.085*** (4.705)
<i>Strategy & Growth</i> ⁺	-0.094*** (-10.728)	-0.098*** (-10.490)	-0.101*** (-10.503)	-0.095*** (-9.895)	-0.090*** (-10.699)
<i>Strategy & Growth</i> ⁻	-0.003 (-0.397)	-0.002 (-0.261)	-0.002 (-0.198)	-0.001 (-0.151)	-0.001 (-0.139)
<i>Operations & Supply Chain</i> ⁺	-0.111*** (-10.708)	-0.115*** (-10.326)	-0.118*** (-9.976)	-0.112*** (-9.830)	-0.102*** (-10.327)
<i>Operations & Supply Chain</i> ⁻	0.019* (1.793)	0.019* (1.742)	0.017 (1.471)	0.016 (1.416)	0.021** (2.144)
<i>Corp. Actions & Cap. Struct</i> ⁺	0.065*** (8.597)	0.064*** (8.028)	0.066*** (7.944)	0.070*** (8.482)	0.056*** (7.758)
<i>Corp. Actions & Cap. Struct</i> ⁻	-0.010 (-1.409)	-0.012 (-1.632)	-0.012 (-1.546)	-0.012 (-1.550)	-0.009 (-1.356)
<i>People & Governance</i> ⁺	0.006 (1.285)	0.008 (1.427)	0.009* (1.646)	0.008 (1.424)	0.007 (1.469)
<i>Controls</i>	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES
<i>Observations</i>	131169	131169	131169	131169	131169
<i>R-squared</i>	0.108	0.111	0.114	0.116	0.108

Panel B: Long-Run Returns for the Next Period				
	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
<i>Risk & Uncertainty</i> ⁺	0.006** (2.075)	0.006*** (3.339)	0.005*** (4.590)	0.003*** (4.848)
<i>Risk & Uncertainty</i> ⁻	0.004 (1.548)	0.004** (2.004)	0.001 (1.077)	0.001 (1.297)
<i>Strategy & Growth</i> ⁺	-0.001 (-0.525)	0.000 (0.573)	0.001 (1.522)	0.000 (0.958)
<i>Strategy & Growth</i> ⁻	0.000	-0.000	0.000	-0.000

Panel B: Long-Run Returns for the Next Period (continued)				
	(1) W_{t+1Q}	(2) W_{t+2Q}	(3) W_{t+4Q}	(4) W_{t+8Q}
<i>Operations & Supply Chain</i> ⁺	(0.380) -0.002	(-0.072) -0.000	(0.159) 0.000	(-0.310) -0.001***
<i>Operations & Supply Chain</i> ⁻	(-1.228) -0.002	(-0.372) -0.002**	(0.587) -0.001**	(-2.766) -0.001***
<i>Corp. Actions & Cap. Struct</i> ⁺	(-1.261) -0.002**	(-2.235) -0.002***	(-2.432) -0.001***	(-3.318) -0.001***
<i>Corp. Actions & Cap. Struct</i> ⁻	(-2.308) -0.002	(-3.352) -0.001**	(-3.773) -0.001*	(-2.946) -0.000*
<i>People & Governance</i> ⁺	(-1.516) -0.003***	(-1.990) -0.001***	(-1.679) -0.000	(-1.705) -0.000**
	(-4.145)	(-3.098)	(-1.437)	(-2.410)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	129789	129116	128070	126165
<i>R-squared</i>	0.091	0.143	0.242	0.456

Table 12: Investor Sophistication and Attention Reallocation

This table examines whether investor sophistication moderates the relation between managerial attention reallocation and announcement returns. The key variable is the interaction between $Attn\ Realloc^{1Q}$ and institutional ownership. The dependent variable in columns (1) through (5) is the cumulative abnormal return over the indicated window around the earnings call, computed using a market model estimated over trading days -255 to -46 . Institutional ownership measures the percentage of shares held by institutional investors. The interaction term is negative and significant across all announcement windows, showing that the market reacts more strongly to managerial attention shifts when institutional ownership is high. All specifications include the full set of control variables used in the baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $CAR(-1, +1)$	(2) $CAR(-1, +2)$	(3) $CAR(-1, +3)$	(4) $CAR(-2, +2)$	(5) $CAR(0, +1)$
$Attn\ Realloc_t^{1Q}$	0.002 (0.493)	0.001 (0.264)	0.002 (0.524)	0.002 (0.617)	0.002 (0.609)
$Inst.\ Ownership_{t-1}$	-0.017*** (-2.940)	-0.020*** (-3.203)	-0.020*** (-3.013)	-0.022*** (-3.280)	-0.015*** (-2.706)
$Attn\ Realloc_t^{1Q} \times Inst.\ Ownership_{t-1}$	-0.009** (-2.071)	-0.008* (-1.757)	-0.010** (-2.074)	-0.010** (-2.123)	-0.008** (-2.120)
<i>Controls</i>	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES
<i>Observations</i>	128762	128761	128761	128761	128762
<i>R-squared</i>	0.091	0.096	0.101	0.101	0.091

Internet Appendix Figures and Tables

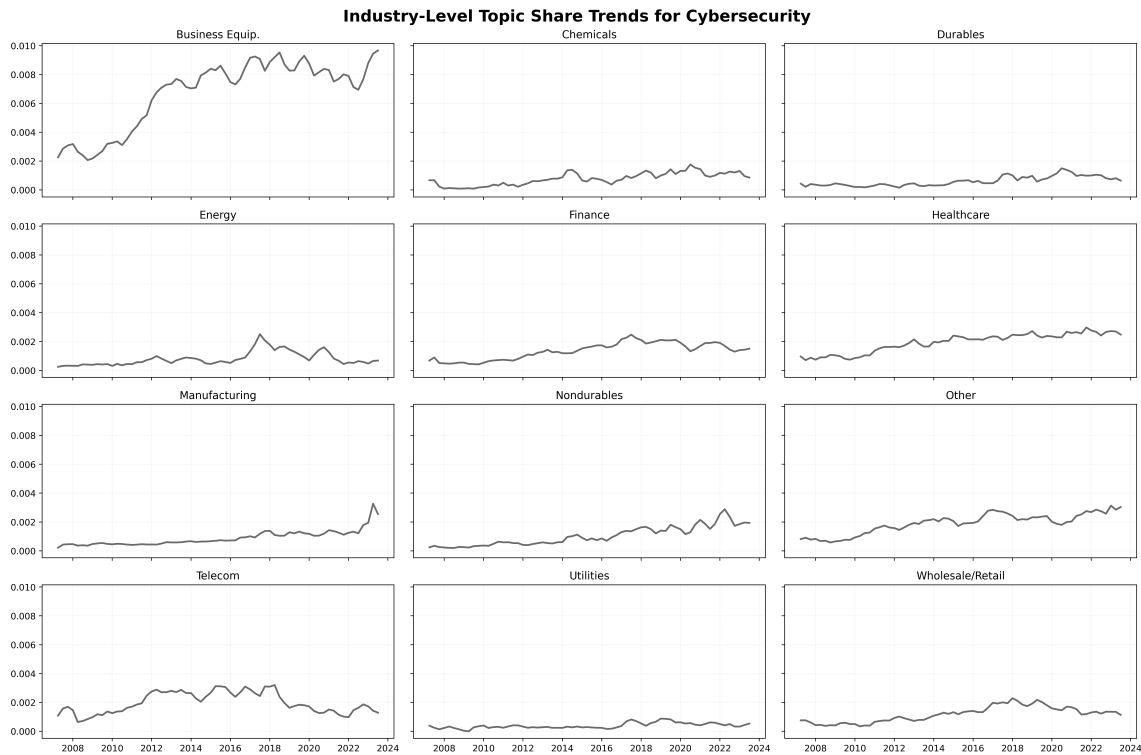


Figure A1. This figure plots the quarterly mean share of the cybersecurity topic across the Fama–French 12 industries.

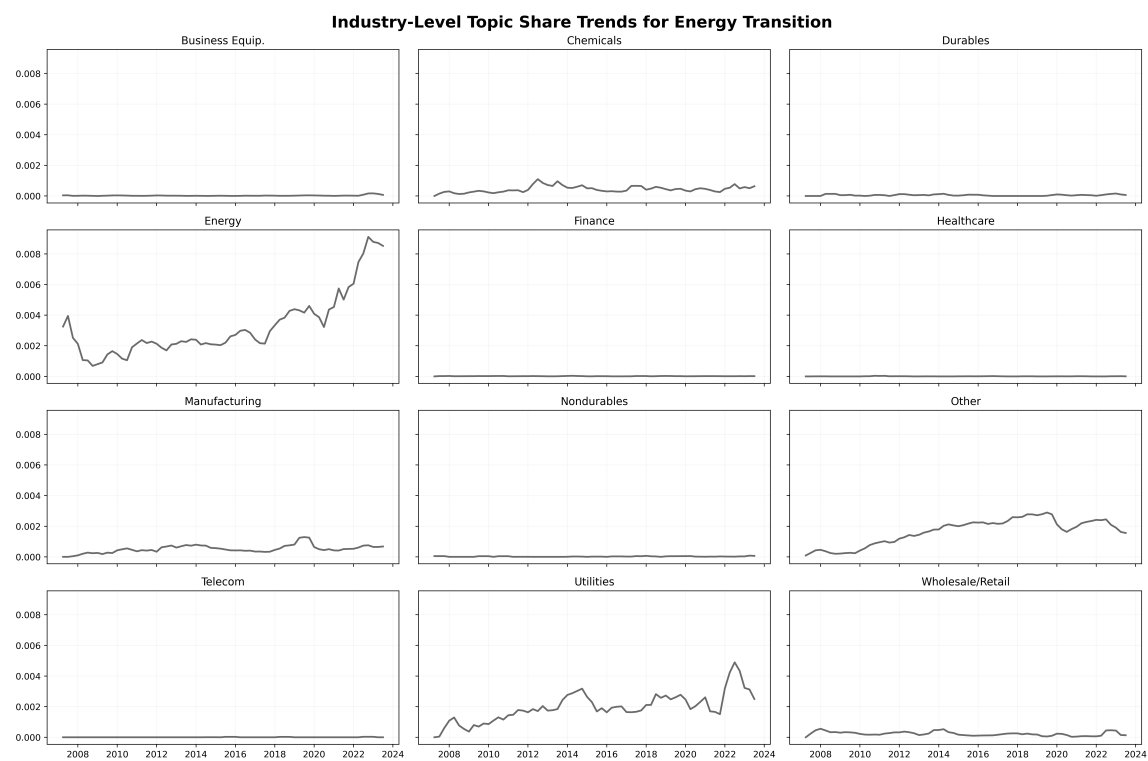


Figure A2. This figure plots the quarterly mean share of the energy-transition topic across the Fama–French 12 industries.

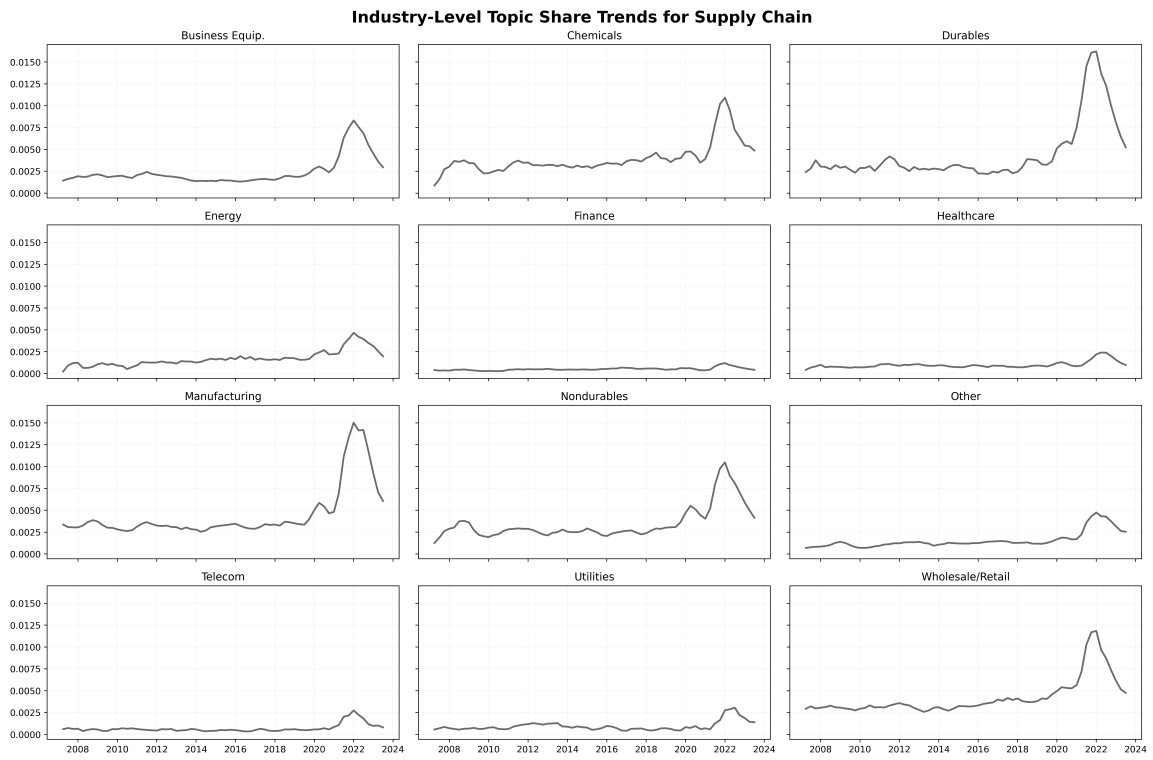


Figure A3. This figure plots the quarterly mean share of the supply-chain topic across the Fama–French 12 industries

Appendix A1.: Variable Descriptions

Variable Name	Definition	Source
<u>Panel A: Attention Reallocation Measures</u>		
Attn Realloc $_t^{1Q}$	L1 deviation of the current quarter's topic share distribution from the prior quarter's distribution, defined as $S_{i,t}^{1Q} = \sum_{k=1}^K A_{i,t,k} - A_{i,t-1,k} $, where $A_{i,t,k}$ is the share of attention allocated to topic k in quarter t . Higher values indicate greater reallocation of managerial attention relative to the preceding quarter. Winsorized at the 1st and 99th percentiles.	CapitalIQ
Attn Realloc $_t^{4Q}$	L1 deviation of the current quarter's topic share distribution from the rolling four-quarter average baseline, defined as $S_{i,t}^{4Q} = \sum_{k=1}^K \left A_{i,t,k} - \frac{1}{4} \sum_{s=t-4}^{t-1} A_{i,s,k} \right $. Captures deviation from a longer-run managerial communication baseline. Used as a robustness measure. Winsorized at the 1st and 99th percentiles.	CapitalIQ
<u>Panel B: Abnormal Returns</u>		
CAR(-1, +1)	Cumulative abnormal return over the three-day window centered on the earnings call date, computed using the market model estimated over the (-255, -46) trading day window preceding the call, following MacKinlay (1997). Abnormal returns are the difference between realized returns and expected returns from the market model using CRSP value-weighted returns. Winsorized at the 1st and 99th percentiles.	CRSP
CAR(-1, +2)	Cumulative abnormal return over the four-day window from trading day -1 to +2 relative to the earnings call date. Constructed identically to CAR(-1, +1).	CRSP
CAR(-1, +3)	Cumulative abnormal return over the five-day window from trading day -1 to +3 relative to the earnings call date. Constructed identically to CAR(-1, +1).	CRSP
CAR(0, +1)	Cumulative abnormal return over the two-day window from trading day 0 to +1 relative to the earnings call date. Constructed identically to CAR(-1, +1).	CRSP
CAR(-2, +2)	Cumulative abnormal return over the five-day symmetric window from trading day -2 to +2 relative to the earnings call date. Constructed identically to CAR(-1, +1).	CRSP
PEAD $_t$	Post-earnings announcement drift, measured as the cumulative abnormal return over trading days +2 to +60 following the earnings call date, following Bernard and Thomas (1989). Constructed using the same market model as the CAR measures.	CRSP

Continued on next page

Variable Name	Definition	Source
<u>Panel C: Crash Risk</u>		
$NCSKEW_{t+1Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 13-week window following the earnings call quarter, following Chen, Hong, and Stein (2001). Firm-specific weekly returns are computed as the residuals from a market and industry-adjusted return model. Higher values indicate greater left-tail risk.	CRSP
$NCSKEW_{t+2Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 26-week window following the earnings call quarter. Constructed identically to $NCSKEW_{t+1Q}$.	CRSP
$NCSKEW_{t+4Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 52-week window following the earnings call quarter. Constructed identically to $NCSKEW_{t+1Q}$.	CRSP
$NCSKEW_{t+8Q}$	Negative coefficient of skewness of firm-specific weekly returns over the 104-week window following the earnings call quarter. Constructed identically to $NCSKEW_{t+1Q}$.	CRSP
W_{t+1Q}	Buy-and-hold abnormal return over the 13-week window following the earnings call quarter. Captures long-run return performance beyond the immediate announcement window.	CRSP
W_{t+2Q}	Buy-and-hold abnormal return over the 26-week window following the earnings call quarter. Constructed identically to W_{t+1Q} .	CRSP
W_{t+4Q}	Buy-and-hold abnormal return over the 52-week window following the earnings call quarter. Constructed identically to W_{t+1Q} .	CRSP
W_{t+8Q}	Buy-and-hold abnormal return over the 104-week window following the earnings call quarter. Constructed identically to W_{t+1Q} .	CRSP
<u>Panel D: Options Market</u>		
$Abn\ PCIV_t$	Abnormal pre-call implied volatility, measured as the average implied volatility of at-the-money call options (delta = 0.50, 30-day maturity) over trading days -5 to -1 relative to the earnings call, minus the firm's historical average implied volatility over trading days -65 to -6 . Captures whether options market uncertainty is abnormally elevated ahead of the call relative to the firm's own baseline.	OptionMetrics

Continued on next page

Variable Name	Definition	Source
IV JUMP _t	Implied volatility jump, measured as the implied volatility of at-the-money call options (delta = 0.50, 30-day maturity) on trading day +1 minus the implied volatility on trading day -1 relative to the earnings call date. Captures the change in options-implied uncertainty caused by the call itself.	OptionMetrics
IV JUMP _{t+1}	Implied volatility jump for the subsequent quarter's earnings call, constructed identically to IV JUMP _t . Used to test whether the effect on options market uncertainty persists beyond the current quarter.	OptionMetrics
Panel E: Analyst Behavior		
Rev Intensity _t	Revision intensity, measured as the number of non-zero earnings forecast revisions issued by analysts covering the firm in the 10 trading days following the earnings call, scaled by the number of analysts active in that window. Captures how actively analysts update their forecasts in response to the call.	IBES
Bold Share _t	is the fraction of eligible analysts whose first forecast issued from trading days +1 through +10 after the call moves farther from the prevailing consensus than the analyst's immediately preceding forecast for the same fiscal-period end, following Clement and Tse (2005)	IBES
Dispersion _t	Forecast dispersion, measured as the cross-sectional standard deviation of individual analyst EPS forecasts in the 10 trading days following the earnings call.	IBES
Forecast Error _t	Standard deviation of individual analyst forecast errors in the 10-day post-call window, where forecast error is defined as actual EPS minus the analyst's forecast, winsorized at the 1st and 99th percentiles.	IBES
Disagreement _t	Mean analyst disagreement, measured as the average absolute deviation of each analyst's winsorized EPS forecast from the prevailing consensus mean in the 10 trading days following the earnings call.	IBES
Cons Revision _t	Consensus forecast revision, measured as the change in the mean analyst EPS forecast from the most recent consensus snapshot before the call to the last consensus snapshot in the 10-day post-call window, from the IBES summary file.	IBES

Continued on next page

Variable Name	Definition	Source
Cons Dispersion _t	Consensus forecast dispersion, measured as the standard deviation of analyst EPS forecasts from the IBES summary file scaled by the absolute stock price in the month prior to the earnings announcement, following Diether, Malloy, and Scherbina (2002). Winsorized at the 1st and 99th percentiles.	IBES / CRSP
Panel F: Mandatory Disclosures (8-K)		
Bad News 8K _{t+90d}	Total count of bad-news 8-K filings by the firm in the 90 days following the earnings call. Bad-news items are defined as SEC Form 8-K disclosures under items 1.02 (contract terminations), 1.03 (bankruptcy), 2.04 (debt triggers), 2.05 (exit costs), 2.06 (asset impairments), 3.01 (delisting notices), 4.01 (auditor changes), 4.02 (non-reliance on prior financials), and 5.04 (benefit plan suspensions).	SEC EDGAR
Bad News 8K _{t+180d}	Total count of bad-news 8-K filings in the 180 days following the earnings call. Constructed identically to Bad News 8K _{t+90d} .	SEC EDGAR
Bad News 8K _{t+1Y}	Total count of bad-news 8-K filings in the 365 days following the earnings call. Constructed identically to Bad News 8K _{t+90d} .	SEC EDGAR
Bad News 8K _{t+2Y}	Total count of bad-news 8-K filings in the 730 days following the earnings call. Constructed identically to Bad News 8K _{t+90d} .	SEC EDGAR
Departures _{t+1Y}	Count of officer and director departure disclosures (SEC Form 8-K Item 5.02) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Terminations _{t+1Y}	Count of material contract termination disclosures (SEC Form 8-K Item 1.02) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Impairments _{t+1Y}	Count of asset impairment and write-down disclosures (SEC Form 8-K Item 2.06) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Non Reliance _{t+1Y}	Count of non-reliance on previously issued financial statement disclosures (SEC Form 8-K Item 4.02) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Delisting _{t+1Y}	Count of delisting or transfer of listing disclosures (SEC Form 8-K Item 3.01) filed by the firm in the 365 days following the earnings call.	SEC EDGAR
Panel G: Adverse ESG Incidents		

Continued on next page

Variable Name	Definition	Source
ESG Incidents _{$t+3M$}	Count of adverse environmental, social, and governance incidents recorded by RepRisk for the firm in the three months following the earnings call. Restricted to incidents classified as medium or high severity.	RepRisk
ESG Incidents _{$t+6M$}	Count of adverse ESG incidents in the six months following the earnings call. Constructed identically to ESG Incidents _{$t+3M$} .	RepRisk
ESG Incidents _{$t+1Y$}	Count of adverse ESG incidents in the 12 months following the earnings call. Constructed identically to ESG Incidents _{$t+3M$} .	RepRisk
Severity _{$t+3M$}	Average severity score of adverse ESG incidents recorded by RepRisk in the three months following the earnings call, based on the RepRisk proprietary severity classification. Zero if no incidents are recorded.	RepRisk
Severity _{$t+6M$}	Average severity score of adverse ESG incidents in the six months following the earnings call. Constructed identically to Severity _{$t+3M$} .	RepRisk
Severity _{$t+1Y$}	Average severity score of adverse ESG incidents in the 12 months following the earnings call. Constructed identically to Severity _{$t+3M$} .	RepRisk
Reach _{$t+3M$}	Average reach score of adverse ESG incidents recorded by RepRisk in the three months following the earnings call, capturing the geographic and stakeholder breadth of each incident. Zero if no incidents are recorded.	RepRisk
Reach _{$t+6M$}	Average reach score of adverse ESG incidents in the six months following the earnings call. Constructed identically to Reach _{$t+3M$} .	RepRisk
Reach _{$t+1Y$}	Average reach score of adverse ESG incidents in the 12 months following the earnings call. Constructed identically to Reach _{$t+3M$} .	RepRisk
ESG Incidents _{$t-1$}	Indicator equal to one if the firm had at least one adverse ESG incident recorded by RepRisk in the six months preceding the earnings call. Used as a control variable to account for firms with pre-existing incident exposure.	RepRisk
Panel H: Operational Performance		
ROA _{$t+1Q$}	Return on assets in the quarter following the earnings call, measured as operating income before depreciation scaled by total assets.	Compustat
ROA _{$t+2Q$}	Return on assets in the second quarter following the earnings call. Constructed identically to ROA _{$t+1Q$} .	Compustat

Continued on next page

Variable Name	Definition	Source
Tobin's Q_{t+1Q}	Tobin's Q in the quarter following the earnings call, measured as the market value of equity plus the book value of total debt, divided by total assets.	Compustat & CRSP
Tobin's Q_{t+2Q}	Tobin's Q in the second quarter following the earnings call. Constructed identically to Tobin's Q_{t+1Q} .	Compustat / CRSP
Panel I: Control Variables		
Firm Size $_{t-1}$	Natural logarithm of market capitalization, measured as the product of shares outstanding and stock price at the end of the quarter preceding the earnings call.	CRSP
Return $_{t-1}$	Cumulative stock return over the 12 months preceding the earnings call, used to control for prior momentum.	CRSP
BEME $_{t-1}$	Book-to-market equity ratio, measured as the ratio of book value of equity to market value of equity at the end of the quarter preceding the earnings call. Book equity is shareholders' equity plus deferred taxes and investment tax credits, minus preferred stock, following Fama and French (1992).	Compustat / CRSP
Investment $_{t-1}$	Capital expenditure scaled by total assets (CAPX/AT) at the end of the quarter preceding the earnings call.	Compustat
Leverage $_{t-1}$	Book value of total debt divided by the market value of equity at the end of the quarter preceding the earnings call.	Compustat / CRSP
Tobin's Q_{t-1}	Tobin's Q at the end of the quarter preceding the earnings call, measured as the market value of equity plus book value of total debt, divided by total assets.	Compustat / CRSP
R&D $_{t-1}$	Research and development expenditure scaled by total assets at the end of the quarter preceding the earnings call. Set to zero when missing.	Compustat
Dummy R&D Missing $_{t-1}$	Indicator equal to one if research and development expenditure is missing in Compustat for the quarter preceding the earnings call.	Compustat
Complexity $_{t-1}$	Firm complexity index from Loughran and McDonald (2024), downloaded from the authors' website. Higher values indicate greater firm complexity.	Loughran and McDonald (2024)
Inst Own $_{t-1}$	Percentage of shares held by institutional investors at the end of the quarter preceding the earnings call, obtained from SEC 13-F filings.	Thomson Reuters 13-F
Segment HHI $_{t-1}$	Herfindahl-Hirschman Index of the firm's sales distribution across business segments at the end of the fiscal year preceding the earnings call, constructed as $HHI = \sum_s \left(\frac{\text{Sales}_s}{\text{Total Sales}} \right)^2$. Lower values indicate greater business diversification.	Compustat Segment

Continued on next page

Variable Name	Definition	Source
$RVOL_{t-1}^{pre}$	Realized return volatility, measured as the standard deviation of daily stock returns over the 30 trading days preceding the earnings call, following Beaver (1968).	CRSP
$Amihud_{t-1}^{pre}$	Pre-call market illiquidity, measured as the average ratio of the absolute daily return to daily dollar trading volume over the 30 trading days preceding the earnings call, following Amihud (2002).	CRSP
SUE_{t-1}	Standardized unexpected earnings from the most recent earnings announcement preceding the call, measured as actual EPS minus consensus analyst forecast scaled by the standard deviation of analyst forecasts, following Livnat and Mendenhall (2006).	IBES
$DTURN_{t-1}$	Detrended share turnover, measured as the average monthly share turnover over the six months preceding the earnings call minus the average monthly share turnover over the six months before that, following Chen, Hong, and Stein (2001).	CRSP
$ACCM_{t-1}$	Accruals-based opacity, measured as the three-year moving sum of the absolute value of annual discretionary accruals, following Hutton, Marcus, and Tehranian (2009). Discretionary accruals are estimated using the modified Jones (1991) model.	Compustat
$NCSKEW_{t-1}$	Negative coefficient of skewness of firm-specific weekly returns over the 52 weeks preceding the earnings call. Constructed identically to $NCSKEW_{t+1Q}$. Included as a control for prior crash risk.	CRSP
σ_{t-1}	Standard deviation of firm-specific weekly returns over the 52 weeks preceding the earnings call, used as a control for prior return volatility in crash risk regressions.	CRSP
$\bar{W}_{t-1}$	Mean firm-specific weekly return over the 52 weeks preceding the earnings call, used as a control for prior return performance in crash risk regressions, following Chen, Hong, and Stein (2001).	CRSP

Appendix Table B1: Robustness of Announcement Return Results

This table reports robustness checks for the announcement return regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone (*LM Negative*, *LM Positive*) and cosine similarity with the prior quarter transcript (*Cosine Similarity_{t-1}*). In Panel B, the main measure is replaced with *Attn Realloc^{4Q}*, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score, constructed by regressing each topic share on its own lags with industry-by-year-quarter fixed effects and computing the score from the residuals. All specifications include the full set of firm-level controls as in Table 3. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. *t*-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) <i>CAR</i> (−1, +1)	(2) <i>CAR</i> (−1, +2)	(3) <i>CAR</i> (−1, +3)	(4) <i>CAR</i> (−2, +2)	(5) <i>CAR</i> (0, +1)	(6) <i>PEAD_t</i>
Panel A: Controlling for Tone and Document Similarity						
<i>Attn Realloc_t^{1Q}</i>	−0.004*** (−3.498)	−0.004*** (−3.248)	−0.004*** (−3.195)	−0.004*** (−3.160)	−0.003*** (−3.130)	−0.005** (−2.359)
<i>Cosine Similarity_{t-1}</i>	−0.000 (−0.200)	0.000 (0.169)	0.001 (0.506)	0.001 (0.535)	−0.001 (−0.329)	0.002 (0.544)
<i>LM Negative</i>	−2.272*** (−26.873)	−2.315*** (−25.670)	−2.278*** (−24.201)	−2.401*** (−25.665)	−2.169*** (−26.749)	−0.195 (−1.104)
<i>LM Positive</i>	1.359*** (25.375)	1.419*** (24.696)	1.438*** (23.951)	1.456*** (24.527)	1.346*** (26.230)	0.181* (1.662)
<i>Controls</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Observations</i>	130,530	130,529	130,529	130,529	130,530	130,330
<i>R-squared</i>	0.101	0.105	0.108	0.110	0.101	0.279
Panel B: Alternative Measure (4-Quarter Rolling Baseline)						
<i>Attn Realloc_t^{4Q}</i>	−0.004*** (−3.145)	−0.003** (−2.443)	−0.003** (−2.248)	−0.004*** (−2.769)	−0.003*** (−3.066)	−0.003 (−1.188)
<i>Controls</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Observations</i>	133,638	133,637	133,637	133,638	133,638	133,428
<i>R-squared</i>	0.085	0.090	0.095	0.095	0.085	0.278
Panel C: Industry-Adjusted Measure						
<i>Attn Realloc_t^{Ind}</i>	−0.004*** (−2.592)	−0.004** (−2.452)	−0.004** (−2.524)	−0.004*** (−2.637)	−0.003* (−1.864)	−0.003 (−0.946)
<i>Controls</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Observations</i>	131,173	131,172	131,172	131,172	131,173	130,972
<i>R-squared</i>	0.085	0.090	0.095	0.095	0.085	0.279

Appendix Table B2: Robustness of Crash Risk and Long-Run Return Results

This table reports robustness checks for the crash risk and long-run return regressions. Within each panel, the first row controls for Loughran and McDonald (2011) tone and cosine similarity with the prior quarter transcript. The second row replaces the main measure with *Attn Realloc*^{4Q}, which uses the trailing four-quarter average as the benchmark. The third row replaces the main measure with the industry-adjusted attention reallocation score. All specifications include the full set of crash risk and firm-level controls as in Table 4. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. *t*-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1)	(2)	(3)	(4)
Panel A: Crash Risk	<i>NCSKEW</i> _{<i>t</i>+1Q}	<i>NCSKEW</i> _{<i>t</i>+2Q}	<i>NCSKEW</i> _{<i>t</i>+4Q}	<i>NCSKEW</i> _{<i>t</i>+8Q}
<i>Tone and Similarity Controls</i>				
<i>Attn Realloc</i> _{<i>t</i>} ^{1Q}	0.031** (2.135)	0.028** (2.094)	0.024* (1.777)	0.021 (1.612)
<i>4-Quarter Rolling Baseline</i>				
<i>Attn Realloc</i> _{<i>t</i>} ^{4Q}	0.037** (2.336)	0.046*** (3.103)	0.024 (1.545)	0.014 (0.892)
<i>Industry-Adjusted Measure</i>				
<i>Attn Realloc</i> _{<i>t</i>} ^{Ind}	0.036* (1.704)	0.061*** (3.089)	0.029 (1.501)	0.025 (1.275)
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Crash Risk Controls</i>	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes
Panel B: Long-Run Returns	$\bar{W}_{t+1Q}$	$\bar{W}_{t+2Q}$	$\bar{W}_{t+4Q}$	$\bar{W}_{t+8Q}$
<i>Tone and Similarity Controls</i>				
<i>Attn Realloc</i> _{<i>t</i>} ^{1Q}	-0.063*** (-5.042)	-0.025*** (-3.226)	-0.010* (-1.889)	-0.013*** (-4.433)
<i>4-Quarter Rolling Baseline</i>				
<i>Attn Realloc</i> _{<i>t</i>} ^{4Q}	-0.064*** (-5.104)	-0.028*** (-3.559)	-0.010* (-1.934)	-0.009*** (-3.062)
<i>Industry-Adjusted Measure</i>				
<i>Attn Realloc</i> _{<i>t</i>} ^{Ind}	-0.053*** (-4.258)	-0.033*** (-4.266)	-0.013*** (-2.626)	-0.009*** (-3.068)
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Crash Risk Controls</i>	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes

Appendix Table B3: Robustness of Analyst Behavior Results

This table reports robustness checks for the analyst behavior regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone and cosine similarity with the prior quarter transcript. In Panel B, the main measure is replaced with *Attn Realloc*^{4Q}, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score. All specifications include the full set of firm-level controls as in Table 5. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. *t*-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) <i>Rev</i> <i>Intensity_t</i>	(2) <i>Boldness_t</i>	(3) <i>Dispersion_t</i>	(4) <i>Disagreement_t</i>	(5) <i>SUE_{t+1}</i>	(6) <i>Cons</i> <i>Dispt_{t+1}</i>
Panel A: Controlling for Tone and Document Similarity						
<i>Attn Realloc</i> _{<i>t</i>} ^{1Q}	0.039*** (2.774)	−0.049*** (−7.979)	0.019** (2.262)	0.016*** (2.755)	−0.001* (−1.822)	0.001** (2.315)
<i>Controls</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Observations</i>	62,329	49,122	56,431	49,800	68,747	67,838
<i>R-squared</i>	0.478	0.078	0.478	0.487	0.189	0.625
Panel B: Alternative Measure (4-Quarter Rolling Baseline)						
<i>Attn Realloc</i> _{<i>t</i>} ^{4Q}	0.154*** (4.081)	−0.146*** (−12.546)	0.044*** (3.983)	0.017* (1.909)	−0.001** (−2.468)	0.000 (1.529)
<i>Controls</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Observations</i>	62,639	49,355	56,710	50,044	69,099	68,188
<i>R-squared</i>	0.480	0.077	0.476	0.481	0.187	0.625
Panel C: Industry-Adjusted Measure						
<i>Attn Realloc</i> _{<i>t</i>} ^{Ind}	0.174*** (4.008)	−0.180*** (−12.525)	0.025* (1.696)	0.022** (2.185)	−0.001** (−2.035)	0.001 (1.445)
<i>Controls</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes	Yes	Yes
<i>Observations</i>	62,639	49,355	56,710	50,044	69,099	68,188
<i>R-squared</i>	0.480	0.077	0.476	0.481	0.187	0.625

Appendix Table B4: Robustness of Mandatory Disclosure Results

This table reports robustness checks for the bad-news 8-K filing regressions. In Panel A, the main specification is augmented with controls for Loughran and McDonald (2011) negative and positive tone and cosine similarity with the prior quarter transcript. In Panel B, the main measure is replaced with *Attn Realloc*^{4Q}, which uses the trailing four-quarter average as the benchmark. In Panel C, the main measure is replaced with the industry-adjusted attention reallocation score. All regressions are estimated using Poisson pseudo-maximum likelihood (PPML) with high-dimensional fixed effects. All specifications include the full set of firm-level controls and lagged bad-news 8-K count as in Table 7. All specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. *t*-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) <i>Bad News</i> <i>8K_{t+90d}</i>	(2) <i>Bad News</i> <i>8K_{t+180d}</i>	(3) <i>Bad News</i> <i>8K_{t+1Y}</i>	(4) <i>Bad News</i> <i>8K_{t+2Y}</i>
Panel A: Controlling for Tone and Document Similarity				
<i>Attn Realloc</i> _{<i>t</i>} ^{1Q}	0.127*** (6.079)	0.089*** (6.275)	0.069*** (6.918)	0.050*** (5.795)
<i>Lagged Bad News 8K</i>	Yes	Yes	Yes	Yes
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes
<i>Observations</i>	126,656	129,867	129,938	129,944
<i>Pseudo R-squared</i>	0.072	0.094	0.130	0.191
Panel B: Alternative Measure (4-Quarter Rolling Baseline)				
<i>Attn Realloc</i> _{<i>t</i>} ^{4Q}	0.147*** (5.460)	0.111*** (5.765)	0.068*** (4.830)	0.040*** (3.341)
<i>Lagged Bad News 8K</i>	Yes	Yes	Yes	Yes
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes
<i>Observations</i>	129,587	132,969	133,051	133,058
<i>Pseudo R-squared</i>	0.073	0.094	0.131	0.191
Panel C: Industry-Adjusted Measure				
<i>Attn Realloc</i> _{<i>t</i>} ^{Ind}	0.165*** (5.799)	0.113*** (5.234)	0.055*** (3.617)	0.031** (2.442)
<i>Lagged Bad News 8K</i>	Yes	Yes	Yes	Yes
<i>Controls</i>	Yes	Yes	Yes	Yes
<i>Firm FE</i>	Yes	Yes	Yes	Yes
<i>Year-Quarter FE</i>	Yes	Yes	Yes	Yes
<i>Observations</i>	127,277	130,505	130,578	130,584
<i>Pseudo R-squared</i>	0.072	0.093	0.130	0.191

Appendix Table B5: Attention Reallocation and Item 5.02 Director and Officer Departure-Related Filings

This table reports Poisson pseudo-maximum likelihood estimates of the relation between managerial attention reallocation and subsequent Item 5.02 filings. Item 5.02 of Form 8-K covers departures of directors or certain officers, elections and appointments of directors or officers, and certain compensatory arrangements. The dependent variables are counts of Item 5.02 filings within 90 days, 180 days, one year, and two years after the earnings call. $Attention\ Reallocation_t^{1Q}$ measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. All specifications control for the number of Item 5.02 filings during the 365 days before the earnings call and the standard set of lagged firm characteristics and market controls. Firm and year-quarter fixed effects are included. Standard errors are clustered by firm. t -statistics are reported in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively

	Dependent Variable = Director and officer departure-related filings.			
	(1)	(2)	(3)	(4)
	<i>Item 5.02_{t+90d}</i>	<i>Item 5.02_{t+180d}</i>	<i>Item 5.02_{t+1Y}</i>	<i>Item 5.02_{t+2Y}</i>
<i>Attn Realloc_t^{1Q}</i>	0.083*** (4.293)	0.055*** (3.893)	0.047*** (4.717)	0.030*** (3.717)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	130295	130500	130573	130579
<i>Pseudo R-squared</i>	0.067	0.085	0.119	0.172

Table B6: Signed Attention Reallocation, Crash Risk, and 8-K Filings

This table decomposes category-level managerial attention reallocation into positive and negative shifts to examine whether changes in attention to particular categories are associated with subsequent crash risk and bad-news disclosures. A positive shift reflects an increase in a category's share of call content relative to the prior quarter, while a negative shift reflects a decrease. Panel A reports estimates for crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters following the call. Panel B reports Poisson pseudo-maximum-likelihood estimates for the count of bad-news 8-K filings within forward windows of 90 days, 180 days, 1 year, and 2 years following the call. All specifications include the full set of control variables used in the baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Crash Risk for the Next Period				
	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
<i>Risk & Uncertainty</i> ⁺	-0.464* (-1.728)	0.003 (0.013)	-0.160 (-0.724)	-0.454** (-2.146)
<i>Risk & Uncertainty</i> ⁻	-0.351 (-1.325)	-0.282 (-1.187)	-0.436** (-1.968)	-0.563*** (-2.604)
<i>Strategy & Growth</i> ⁺	0.040 (0.319)	0.029 (0.270)	0.052 (0.506)	0.073 (0.762)
<i>Strategy & Growth</i> ⁻	0.068 (0.532)	0.140 (1.249)	0.175* (1.756)	0.144 (1.526)
<i>Operations & Supply Chain</i> ⁺	0.039 (0.284)	0.029 (0.235)	0.065 (0.575)	0.146 (1.303)
<i>Operations & Supply Chain</i> ⁻	0.027 (0.192)	0.152 (1.233)	0.151 (1.280)	0.122 (1.058)
<i>Corp. Actions & Cap. Struct</i> ⁺	0.247** (2.373)	0.347*** (3.856)	0.234*** (2.850)	0.271*** (3.401)
<i>Corp. Actions & Cap. Struct</i> ⁻	0.203* (1.929)	0.203** (2.271)	0.119 (1.461)	0.186** (2.397)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	128432	127765	126734	124863
<i>R-squared</i>	0.074	0.113	0.174	0.285

Panel B: Filing of 8-K Bad News				
	(1) <i>Bad News</i> _{90d}	(2) <i>Bad News</i> _{180d}	(3) <i>Bad News</i> _{365d}	(4) <i>Bad News</i> _{730d}
<i>Risk & Uncertainty</i> ⁺	0.455 (1.543)	0.168 (0.699)	0.313* (1.876)	0.143 (1.151)
<i>Risk & Uncertainty</i> ⁻	0.064 (0.262)	0.348* (1.689)	0.171 (1.161)	0.066 (0.602)
<i>Strategy & Growth</i> ⁺	0.435*** (2.969)	0.325*** (3.478)	0.234*** (3.105)	0.216*** (3.610)
<i>Strategy & Growth</i> ⁻	0.130	0.111	0.090	0.044

Panel B: Filing of 8-K Bad News (continued)				
	(1) <i>Bad News</i> _{90d}	(2) <i>Bad News</i> _{180d}	(3) <i>Bad News</i> _{365d}	(4) <i>Bad News</i> _{730d}
<i>Operations & Supply Chain</i> ⁺	(0.981) 0.058	(1.126) -0.019	(1.136) 0.222***	(0.680) 0.241***
<i>Operations & Supply Chain</i> ⁻	(0.442) 0.020	(-0.190) 0.182*	(2.644) 0.207***	(3.136) 0.209***
<i>Corp. Actions & Cap. Struct</i> ⁺	(0.132) 0.707***	(1.680) 0.590***	(2.591) 0.342***	(2.846) 0.193***
<i>Corp. Actions & Cap. Struct</i> ⁻	(5.864) 0.479***	(7.019) 0.424***	(5.473) 0.224***	(3.701) 0.141***
	(3.887)	(4.802)	(3.274)	(2.897)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	130295	130500	130573	130579
<i>Pseudo R-squared</i>	0.072	0.094	0.131	0.192

Appendix Table B7 : Firm Characteristics and Attention Reallocation

This table examines which firm characteristics are associated with managerial attention reallocation. The dependent variable in column (1), $Attn\ Realloc_t^{1Q}$, measures the shift in the distribution of managerial attention across topics relative to the prior quarter. The dependent variable in column (2), $Attn\ Realloc_t^{4Q}$, measures the shift in the distribution of managerial attention relative to the average distribution over the prior four quarters. All firm characteristics are lagged and defined in Table A1. Both specifications include firm and year-quarter fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

	(1) $Attn\ Realloc_t^{1Q}$	(2) $Attn\ Realloc_t^{4Q}$
$Firm\ Size_{t-1}$	0.028*** (7.964)	0.014*** (4.375)
$Past\ Return_{t-1}$	-0.014*** (-4.674)	-0.011*** (-4.497)
SUE_{t-1}	-0.001*** (-3.872)	-0.001*** (-3.100)
$Investment_{t-1}$	-0.154*** (-2.961)	-0.122*** (-2.920)
ROA_{t-1}	-0.205*** (-5.041)	-0.182*** (-5.149)
$Leverage_{t-1}$	0.030** (2.286)	0.054*** (4.838)
$Tobin's\ Q_{t-1}$	-0.005*** (-3.091)	-0.007*** (-5.037)
$Book-to-Market_{t-1}$	0.003 (1.370)	0.004* (1.946)
$R\&D_{t-1}$	-0.302*** (-2.928)	-0.247** (-2.485)
$R\&D\ Missing_{t-1}$	0.002 (0.289)	0.002 (0.305)
$Complexity_{t-1}$	0.021 (1.460)	0.005 (0.428)
$Segment\ HHI_{t-1}$	0.038*** (3.526)	0.017 (1.660)
$Inst\ Own_{t-1}$	0.003 (0.227)	-0.001 (-0.063)
$RVOL_{t-1}^{pre}$	1.848*** (9.773)	1.558*** (7.309)
$Amihud_{t-1}^{pre}$	-0.004 (-0.966)	0.001 (0.144)
$Ln\ No.\ Topics_{t-1}$	-0.014 (-0.913)	-0.097*** (-6.582)
$Firm\ FE$	YES	YES
$Year-Quarter\ FE$	YES	YES
$Observations$	128762	131148
$R-squared$	0.310	0.356

Appendix Table B8: Correlation Matrix

This table reports Pearson correlation coefficients among the main attention, textual, and firm-level variables used in the analysis. *Attn Realloc*^{1Q} measures the total shift in the distribution of managerial attention across topics relative to the prior quarter. *Net Tone* measures the net textual tone of the earnings call. *Cosine Similarity* measures the similarity in the distribution of managerial attention relative to the prior quarter. *Ln No. Sentences* is the natural logarithm of the number of content sentences in the earnings call, and *Ln No. Topics* is the natural logarithm of the number of topics discussed during the call. Variable definitions are provided in Appendix Table A1.

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
(1) <i>Attn Realloc</i> _{<i>t</i>} ^{1Q}	1.000									
(2) <i>Net Tone</i>	-0.008	1.000								
(3) <i>Cosine Similarity</i>	-0.497	0.001	1.000							
(4) <i>Ln No. Sentences</i>	0.057	0.105	-0.049	1.000						
(5) <i>Ln No. Topics</i>	0.063	0.114	0.006	0.930	1.000					
(6) <i>Ln No. Analysts</i>	0.110	0.104	-0.131	0.153	0.140	1.000				
(7) <i>Firm Size</i>	0.197	0.137	-0.184	0.209	0.226	0.458	1.000			
(8) <i>SUE</i>	-0.010	0.054	-0.008	-0.003	-0.006	-0.003	-0.001	1.000		
(9) <i>RVOL</i> ^{pre}	-0.027	-0.227	0.042	-0.057	-0.086	-0.121	-0.355	-0.057	1.000	
(10) <i>Amihud</i> ^{pre}	-0.050	-0.067	0.063	-0.072	-0.068	-0.164	-0.231	-0.001	0.160	1.000

Appendix Table B9: Residualized Attention Reallocation and Main Outcomes

This table examines whether the main results are robust to removing variation in managerial attention reallocation associated with alternative textual characteristics of the earnings call. I first regress $Attn\ Realloc^{1Q}$ on net tone, cosine similarity to the prior call, and the number of topics discussed during the call. $Residual\ Attn\ Realloc^{1Q}$ is the residual from this regression and therefore captures variation in attention reallocation orthogonal to these characteristics. Panel A reports announcement returns over the indicated windows around the earnings call. Panel B reports crash risk, measured as $NCSKEW$ over forward windows of 1, 2, 4, and 8 quarters. Panel C reports mean firm-specific weekly returns over the same horizons. Panel D reports Poisson pseudo-maximum-likelihood estimates for the number of bad-news 8-K filings within 90 days, 180 days, 1 year, and 2 years following the call. All specifications include the full set of controls used in the corresponding baseline regressions, as well as firm fixed effects and time fixed effects. Standard errors are clustered at the firm level. t -statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns					
	(1) $CAR(-1, +1)$	(2) $CAR(-1, +2)$	(3) $CAR(-1, +3)$	(4) $CAR(-2, +2)$	(5) $CAR(0, +1)$
<i>Residual Attn Realloc_t^{1Q}</i>	-0.003*** (-2.663)	-0.003** (-2.418)	-0.003** (-2.370)	-0.003** (-2.379)	-0.002** (-2.198)
<i>Controls</i>	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES
<i>Observations</i>	130530	130529	130529	130529	130530
<i>R-squared</i>	0.101	0.105	0.108	0.110	0.101

Panel B: Crash Risk for the Next Period				
	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
<i>Residual Attn Realloc_t^{1Q}</i>	0.032** (2.222)	0.034** (2.556)	0.032** (2.400)	0.030** (2.374)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	128434	127767	126736	124865
<i>R-squared</i>	0.073	0.112	0.173	0.284

Panel C: Long-Run Returns for the Next Period				
	(1) $\bar{W}_{t+1Q}$	(2) $\bar{W}_{t+2Q}$	(3) $\bar{W}_{t+4Q}$	(4) $\bar{W}_{t+8Q}$
<i>Residual Attn Realloc_t^{1Q}</i>	-0.001*** (-5.108)	-0.000*** (-3.654)	-0.000* (-1.831)	-0.000*** (-4.334)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	128434	127767	126736	124865

Panel C: Long-Run Returns for the Next Period (continued)				
	⁽¹⁾ $\overline{W}_{t+1Q}$	⁽²⁾ $\overline{W}_{t+2Q}$	⁽³⁾ $\overline{W}_{t+4Q}$	⁽⁴⁾ $\overline{W}_{t+8Q}$
<i>R-squared</i>	0.125	0.197	0.304	0.498

Panel D: Filing of 8-K Bad News				
	⁽¹⁾ <i>Bad News</i> _{90d}	⁽²⁾ <i>Bad News</i> _{180d}	⁽³⁾ <i>Bad News</i> _{365d}	⁽⁴⁾ <i>Bad News</i> _{730d}
<i>Residual Attn Reallocation</i> _t ^{1Q}	0.112*** (6.155)	0.080*** (5.911)	0.059*** (6.046)	0.041*** (4.971)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES
<i>Observations</i>	129659	129867	129938	129944
<i>Pseudo R-squared</i>	0.071	0.093	0.130	0.191

Appendix Table B10: Placebo Validation of Attention Reallocation

This table reports placebo tests of the attention reallocation measure. *Sequence Placebo* randomly permutes the order of transcripts within each firm and recomputes attention reallocation relative to the preceding transcript in the randomized sequence. This procedure preserves firm identity and transcript content but destroys the actual time-series sequence of managerial communication. *Random-Firm Placebo* randomly assigns transcripts to firms within the same quarter and recomputes attention reallocation relative to the preceding call. This procedure preserves quarter-level conditions but destroys firm identity and firm-specific time-series structure. Panel A reports announcement returns over the indicated windows around the earnings call. Panel B reports mean firm-specific weekly returns over forward windows of 1, 2, 4, and 8 quarters. Panel C reports crash risk, measured as *NCSKEW* over the same horizons. Panel D reports Poisson pseudo-maximum-likelihood estimates for the number of bad-news 8-K filings within 90 days, 180 days, 1 year, and 2 years following the call. All specifications include the full set of controls used in the corresponding baseline regressions, as well as firm and year-quarter fixed effects. Standard errors are clustered at the firm level. *t*-statistics are reported in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% levels, respectively.

Panel A: Announcement Returns					
	(1) <i>CAR</i> (−1, +1)	(2) <i>CAR</i> (−1, +2)	(3) <i>CAR</i> (−1, +3)	(4) <i>CAR</i> (−2, +2)	(5) <i>CAR</i> (0, +1)
<i>Sequence Placebo</i>	0.000 (0.216)	0.000 (0.205)	0.000 (0.341)	0.000 (0.286)	0.000 (0.425)
<i>Random-Firm Placebo</i>	−0.000 (−0.097)	−0.001 (−0.285)	−0.002 (−0.679)	−0.000 (−0.193)	−0.000 (−0.255)
<i>Controls</i>	YES	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES	YES

Panel B: Long-Run Returns for the Next Period				
	(1) $\bar{W}_{t+1Q}$	(2) $\bar{W}_{t+2Q}$	(3) $\bar{W}_{t+4Q}$	(4) $\bar{W}_{t+8Q}$
<i>Sequence Placebo</i>	0.000 (1.521)	0.000 (1.444)	0.000** (2.278)	0.000 (1.550)
<i>Random-Firm Placebo</i>	−0.000 (−1.330)	−0.000 (−0.978)	−0.000 (−1.434)	−0.000 (−0.669)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES

Panel C: Crash Risk for the Next Period				
	(1) $NCSKEW_{t+1Q}$	(2) $NCSKEW_{t+2Q}$	(3) $NCSKEW_{t+4Q}$	(4) $NCSKEW_{t+8Q}$
<i>Sequence Placebo</i>	-0.013 (-0.846)	-0.012 (-0.830)	-0.012 (-0.921)	-0.009 (-0.794)
<i>Random-Firm Placebo</i>	0.037 (1.286)	0.012 (0.472)	0.021 (0.974)	0.008 (0.415)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES

Panel D: Filing of 8-K Bad News				
	(1) $Bad\ News_{90d}$	(2) $Bad\ News_{180d}$	(3) $Bad\ News_{365d}$	(4) $Bad\ News_{730d}$
<i>Sequence Placebo</i>	-0.009 (-0.618)	-0.003 (-0.251)	-0.004 (-0.526)	0.003 (0.536)
<i>Random-Firm Placebo</i>	-0.044 (-1.345)	0.005 (0.226)	0.001 (0.081)	-0.005 (-0.493)
<i>Controls</i>	YES	YES	YES	YES
<i>Firm FE</i>	YES	YES	YES	YES
<i>Year-Quarter FE</i>	YES	YES	YES	YES

Appendix C. Additional Materials

C1 Topic Classification Procedure

I classify the 1,074 non-boilerplate BERTopic topics into twelve economic content categories using a supervised large-language-model procedure. The classification is anchored on a set of category definitions developed from an initial manually labeled sample of 70 topics. These definitions include explicit boundary rules for categories that are prone to overlap. For example, *Risk Factors & Uncertainty* captures hedged, cautionary, or exposure-framed language (“could,” “may,” “uncertain,” quantified risk metrics), regardless of subject matter, whereas *External & Macro Shocks* captures content describing macroeconomic or geopolitical conditions as the topic itself (FX movements, regional demand conditions, COVID disruption). Similarly, *Strategy, Growth & Innovation* contains forward-looking business-development intent (R&D, new products, market expansion, general “investing in the business”), *Operations & Supply Chain* contains production, logistics, and execution-layer content, and *Corporate Actions & Capital Structure* contains specific transactional or financing decisions (M&A, divestitures, buybacks, dividends, debt issuance, leverage tied to a named deal).

Each topic is presented to Claude Sonnet 5 with its top-weighted terms and representative example sentences. The model is prompted with the fixed category definitions, boundary rules, and worked examples from the manually labeled training set, and returns a category assignment, a confidence rating, and a one-sentence justification. Topics identified as conversational scaffolding (introductions, speaker transitions, meeting logistics) or as clustering artifacts driven by polysemous terms (“model,” “term,” “size”) are flagged and excluded as boilerplate. These exclusions include the 193 boilerplate topics identified during initial topic review and an additional set identified through a second-stage subtype screen, yielding a final boilerplate list of 477 topics.

The classification is validated in three steps. First, a self-consistency check classifies an independent 30-topic sample twice under identical settings; the two passes agree on all topics. Second, the initial 70-topic training set is reclassified, and category definitions are refined where systematic disagreements arise (e.g., cash-flow topics are assigned to *Financial Performance & Earnings* unless the content specifies a particular use such as funding a buyback or paying down debt, in which case they are

assigned to *Corporate Actions & Capital Structure*). Third, a blind validation sample of 150 topics, stratified to ensure coverage of smaller categories, is manually classified by three PhD students without access to the model’s assignments; agreement between manual and automated classification is 98%.

The resulting twelve categories—*Financial Performance & Earnings*, *Risk Factors & Uncertainty*, *Legal, Regulatory & Tax*, *Corporate Actions & Capital Structure*, *Operations & Supply Chain*, *Strategy, Growth & Innovation*, *Customer & Competitive Positioning*, *External & Macro Shocks*, *People & Governance*, *Environment & Sustainability*, *Industry/Sector Context*, and *Confidence & Achievement Rhetoric*—provide the content decomposition used in the main analysis. Examples of topics assigned to each category are available upon request.

C2 Topic-Model Implementation and Additional Validation

This appendix describes the construction of the topic distributions used to measure managerial attention reallocation.

C2.1 Transcript Construction and Preprocessing

I obtain earnings-call transcripts from Capital IQ and retain the management-presentation portion of each call. I exclude moderator comments, analyst questions, and procedural material. I then divide the retained text into sentences using the spaCy natural-language-processing pipeline ([Honnibal and Montani, 2017](#)). I apply minimal preprocessing to preserve economically meaningful phrasing: I convert text to lowercase and remove boilerplate disclaimers. I deliberately avoid aggressive stemming or lemmatization, as these procedures can collapse economically distinct concepts—such as “pricing power” versus “price increases,” or “tax regulation” versus “deferred tax assets”—into the same root form. Preserving these distinctions is essential for the embedding model to accurately capture the themes managers emphasize.

C2.2 Sentence Embeddings and Topic Estimation

Each retained sentence is represented using the MPNet sentence-transformer model ([Song et al., 2020](#); [Reimers and Gurevych, 2019](#)). Let x_s denote sentence s . The embedding model maps the sentence into a dense vector,

$$f(x_s) = z_s \in \mathbb{R}^d,$$

where sentences with similar semantic content are located closer together in the embedding space. This representation allows sentences that use different words to be grouped when they describe a similar economic issue.

C2.3 Topic discovery with BERTopic

I apply BERTopic ([Grootendorst, 2022](#)) to discover topics from the sentence embeddings. BERTopic combines three components: nonlinear dimensionality reduction, density-based clustering, and class-based TF-IDF (c-TF-IDF) for topic representation.

First, the high-dimensional embeddings $\{z_s\}$ are projected into a lower-dimensional manifold using UMAP, which preserves local semantic neighborhoods while reducing noise:

$$r(z_s) = y_s \in \mathbb{R}^{d'}.$$

Second, the reduced vectors $\{y_s\}$ are clustered using HDBSCAN, a density-based algorithm that identifies coherent groups of semantically similar sentences without requiring the number of topics to be specified *ex ante*. Let

$$c(y_s) = g_s \in \{1, \dots, K\} \cup \{\text{noise}\}$$

denote the cluster assignment. This procedure allows topics to emerge endogenously from the data, reflecting the actual structure of managerial communication rather than imposing a fixed set of themes.

C2.4 Topic representation and labeling

For each topic k , BERTopic constructs a topic representation using a class-based TF-IDF weighting scheme. Let $tf_{k,v}$ denote the frequency of term v in sentences assigned to topic k , and let df_v denote the number of topics in which term v appears. The c-TF-IDF weight is

$$w_{k,v} \propto tf_{k,v} \cdot \log \left(\frac{K}{df_v} \right),$$

normalized within topic k . This weighting scheme highlights terms that are distinctive to each topic, yielding sparse, interpretable representations. I manually review the highest-weighted unigrams, bigrams, and trigrams and assign concise, economically meaningful labels (e.g., “Demand Conditions,” “Cost Pressures,” “Tax Planning,” “Regulatory Environment,” “Supply Chain Constraints”). This step ensures that the resulting topics align with constructs commonly analyzed in corporate finance and asset pricing.

C2.5 Firm-quarter topic distributions

I aggregate sentence-level topic assignments to construct a topic distribution for each firm-quarter. Let $n_{i,t,k}$ denote the number of sentences in firm i ’s call in quarter t assigned to topic k . The topic attention vector is

$$A_{i,t,k} = \frac{n_{i,t,k}}{\sum_{j=1}^K n_{i,t,j}},$$

with $\sum_{k=1}^K A_{i,t,k} = 1$. These distributions form the basis for the measures of managerial attention reallocation in Section 3.

C2.6 BERTopic contrast with dictionary, similarity, and LDA approaches

A large literature in empirical finance has demonstrated the value of text based measures constructed from corporate disclosures, news, and regulatory filings. Early approaches relied on dictionary methods, in which researchers classify words into pre specified economic categories and compute document level frequencies. These methods have been used to measure sentiment, risk, and disclosure tone in settings such as annual reports, MD&A sections, and earnings announcements. The approach builds on, but differs fundamentally from, the dictionary-based, similarity-based, and LDA-based methods widely used in empirical finance. Dictionary methods provide transparency and interpretability, but they require researchers to pre-specify the vocabulary of interest. As corporate language evolves, fixed dictionaries struggle to capture new terminology, contextual nuance, and semantic drift. This limitation is particularly acute in earnings calls, where managers discuss complex topics such as

tax regulation, deferred tax assets, supply chain bottlenecks, or regulatory headwinds using firm-specific phrasing that may not appear in any pre-defined dictionary.

Similarity-based approaches quantify how much a document changes relative to prior filings. These methods are powerful in detecting disclosure changes, but they do not identify *what* managers are discussing or how attention is allocated across themes. Similarity is inherently unidimensional: it measures distance, not content.

Latent Dirichlet Allocation (LDA)-based topic models, represent documents as mixtures of latent topics and have been influential in macro-finance applications. However, LDA relies on a bag-of-words representation, which discards word order and contextual meaning. As a result, LDA struggles to distinguish between economically distinct concepts that share vocabulary (e.g., “tax regulation” vs. “deferred tax assets”) and words that convey meaning through multiword expressions (“pricing power,” “supply chain normalization,” “regulatory headwinds”). This makes LDA struggle to group together conceptually similar sentences that use different terminology. LDA also requires researchers to fix the number of topics *ex ante*, which limits its ability to adapt to the evolving structure of managerial communication. Supervised classification approaches, such as those using fine-tuned BERT models (Harford et al., 2026), address some of these limitations by leveraging contextual embeddings, but they require manual labeling of a training corpus and the construction of a keyword filter to identify candidate sentences before classification. The performance of such approaches depends on the quality of the keywords for all the topics in the document and representativeness of the labeled training data.

In contrast, BERTopic leverages transformer-based embeddings that encode contextual meaning, allowing it to differentiate between nuanced economic concepts and to recognize when managers discuss the same underlying issue using different language. Its density-based clustering identifies topics endogenously, and its c-TF-IDF representation yields sparse, interpretable topic summaries. This architecture is particularly well-suited for earnings calls, where managers often discuss multiple, overlapping themes whose economic implications depend on context. For example, discussions of “taxes” may refer to regulatory changes, deferred tax assets, international tax arbitrage, or the impact of tax credits on capital expenditures—concepts that dictionary or LDA approaches cannot reliably distinguish.

By capturing semantic nuance, contextual variation, and topic evolution,

BERTopic provides a richer and more accurate representation of managerial attention than traditional dictionary, similarity, or LDA approaches. This makes BERTopic the appropriate tool for measuring how managers allocate attention across themes and how these allocations evolve in response to firm-level and industry-level developments.

C2.7 Additional Diagnostics

This appendix reports four additional diagnostics. First, Figures 1, 2, and 3 display the semantic organization and relative prevalence of the estimated topics. Second, Appendix Table B8 reports correlations between attention reallocation, tone, cosine similarity, the number of topics, call length, and other call characteristics. Third, Appendix Table B8 reports results using the residualized attention-reallocation measure. Fourth, Appendix Table B9 reports the full placebo analysis.

The diagnostic evidence is consistent with the measure capturing genuine within-firm changes in managerial attention rather than call mechanics, arbitrary transcript comparisons, quarter-level variation, or common shocks.